



Cliffco 7

HELOC

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1 INTRODUCTION

These guidelines serve to provide direction and consistency in loan, borrower, and property eligibility.

1.1 LOAN UNDERWRITING PHILOSOPHY

Cliffco Mortgage Bankers (hereafter referred to as Cliffco Mortgage Bankers or Cliffco Mortgage Bankers) evaluates many aspects of the loan including characteristics including credit history, asset position, and the property being used for collateral. Additional characteristics of the loan are also examined including credit history, asset position, and the property being used for collateral.

Cliffco Mortgage Bankers Eligibility Guidelines establish the criteria under which a loan will be eligible.

Cliffco Mortgage Bankers has a no-tolerance policy as it relates to fraud. Loans containing fraudulent documentation or information will immediately be declined and forwarded for further review. Cliffco Mortgage Bankers will also pursue borrower fraud to the fullest extent of the law.

1.2 FAIR LENDING STATEMENT

Cliffco Mortgage Bankers operates in accordance with the provisions of the Fair Housing Act and Equal Credit Opportunity Act. The Fair Housing Act makes it unlawful to discriminate in housing-related activities against any person because of race, color, religion, national origin, sex, handicap, or familial status. The Equal Credit Opportunity Act prohibits discrimination with respect to any aspect of a credit transaction on the basis of sex, race, color, religion, national origin, marital status, age (provided the borrower has the capacity to enter into a binding contract), receipt of public assistance, or because the borrower has in good faith exercised any right under the Consumer Credit Protection Act. Cliffco Mortgage Bankers fully supports the letter and spirit of both of these laws and will not condone discrimination in any mortgage transaction.

2 EQUITY ADVANTAGE HELOC

2.1 GENERAL PROGRAM INFORMATION

The Equity Advantage HELOC is a financing option in the form of a standalone, home equity line of credit in either 1st or 2nd lien position. See the Cliffco Mortgage BankersCorrespondent Equity Advantage Guidelines for requirements for closed-end second mortgages.

2.2 DOCUMENTATION

- Full Documentation: 1- or 2-years W-2s or Tax Returns
- Bank Statement Documentation: 12-month Personal or Business Bank Statements
- Debt-Service Coverage Ratio (DSCR)

2.3 PRODUCTS

See Cliffco Mortgage BankersEquity Advantage HELOC Matrix.

2.4 LOAN AMOUNTS AND LOAN-TO-VALUES

See the Cliffco Mortgage BankersEquity Advantage HELOC Matrix.

2.5 STATE RESTRICTIONS

See Cliffco Mortgage BankersEquity Advantage HELOC Matrix.

2.6 PREPAYMENT PENALTIES, POINTS, AND FEES

Prepayment penalties are not permitted on Equity Advantage HELOC transactions. Total points, fees, and APR may not exceed current state and federal high-cost thresholds.

2.7 EXCEPTIONS

Exceptions to published guidelines are considered on a case-by-case basis. Loans with exception requests should exhibit strong compensating factors.

2.8 ADDITIONAL REQUIREMENTS

Cliffco Mortgage Bankers loan products do not require Mortgage Guarantee Insurance, Private Mortgage Insurance, or other like coverages.

As they relate to the occupancy of the mortgaged property or otherwise, receipt of certificates of occupancy, fire underwriting certificates, inspections, or licenses are not required for any Cliffco Mortgage Bankers loan products.

3 TRANSACTIONS

3.1 OCCUPANCY

3.1.1 PRIMARY RESIDENCE

A primary residence (or owner-occupied property) is a dwelling occupied by the borrower as his or her principal residence.

To qualify as a primary residence, the transaction must meet each of the following criteria:

- Property is located in the same general area as the borrower's employment
- Borrower intends to occupy the subject property for the majority of the year
- Property possesses physical characteristics that accommodate the borrower's family

3.1.2 SECOND HOME

A second home is a dwelling occupied by the borrower for a portion of the year in addition to their primary residence (may also be referred to as a vacation home). Second homes are restricted to 1-unit dwellings.

Typical second homes should meet the following criteria:

- Be located a reasonable distance away from the borrower's primary residence
- Must be occupied by the borrower for some portion of the year
- Suitable for year-round occupancy
- Borrower must have exclusive control over the property
- Must not be subject to any timeshare arrangements, rental pools or other agreements which require the borrower to rent the subject property or otherwise give control of the subject property to a management firm

3.1.3 INVESTMENT PROPERTY

An investment property (or non-owner-occupied property) is an income-producing property that the borrower does not occupy.

3.2 REFINANCE REQUIREMENTS

3.2.1 SEASONING

No ownership seasoning is required for a primary residence. If less < 6 months seasoning, a 10% CLTV reduction is required.

Ownership seasoning of 6 months is required for second homes and investment properties. The appraised value may be used to determine loan-to-value as established by the required appraisal product. Purchase settlement date to note date is used to calculate the 6 months.

No minimum seasoning is required since the most recent mortgage transaction for a primary residence. If less < 6 months seasoning, a 10% CLTV reduction is required.

A minimum of 6 months must have elapsed since the most recent mortgage transaction on the subject property second homes and investment properties (either the original purchase transaction or subsequent refinance). Note date to note date is used to calculate the 6 months.

3.2.2 CASH-OUT LIMITS

See the Cliffco Mortgage BankersEquity Advantage HELOC Matrix.

3.2.3 PROPERTIES LISTED FOR SALE

The subject property must be taken off the market $\geq$ 6 months from application date.

3.3 TEXAS HOME EQUITY LOANS

A Texas Section 50(a)(6) mortgage is a home equity loan originated under the provisions of Article XVI, Section 50(a)(6), of the Texas Constitution, which allow a borrower to take equity out of a homestead property under certain conditions.

All Texas Home Equity loans must comply with the more restrictive of the Cliffco Mortgage BankersEquity Advantage HELOC Underwriting Guidelines or [3.3 Texas Home Equity Loans](#).

3.3.1 GENERAL REQUIREMENTS

The following parameters apply to Texas Section 50(a)(6) mortgages:

- Full Documentation and Bank Statement Documentation allowed
- Maximum LTV/CLTV 80/80%
- 1-unit properties only
- Fully amortized products only

3.3.2 LOAN PARAMETERS

The following are considered Texas Section 50(a)(6) loans:

- Loans using proceeds to pay off an existing 50(a)(6) loan (as identified in title work)

- Loans using proceeds to pay off federal tax debt liens
- Loans using proceeds to pay property tax liens on the property securing the new loan
- Loans using proceeds to pay off or pay down debts that are not secured by the homestead property
- Loans with any cash back to the borrower

The following are NOT considered Texas Section 50(a)(6) loans:

- Loans using proceeds to pay current taxes due on the property securing the loan
- Loans using proceeds to buy out equity pursuant to a court order or agreement of the parties (usually applies to a divorce settlement)
- Loan proceeds used to pay a prepayment penalty assessed on an existing non-50(a)(6) loan, and the prepayment is included in the payoff amount (new loan must have a new title policy issued without exception to the financing of the prepayment fee)
- Loans that include the payment of HOA dues, if title company requires them to be paid

3.3.3 RESTRICTIONS

The following restrictions apply to Texas Home Equity loans:

- Texas Home Equity loans may not be refinanced more than once a year (>12 months).
- There can be only one outstanding 50(a)(6) loan on a property at any given time.
- If the borrower has an existing 50(a)(6) second lien and is getting cash-out from the first mortgage, that lien must be paid off.
- The 50(a)(6) loan may not be used to acquire the property or to finance construction.

3.3.4 OCCUPANCY

Texas Home Equity loans are allowed on primary residences only under the Equity Advantage HELOC program. All borrowers on the loan must be in title and occupy the subject property as their primary residence.

Cash-out transactions in Texas are allowed on 2nd homes. Primary occupancy must be clearly established, and documentation must be obtained as evidence the 2nd home does not have a Texas homestead exception.

Cash-out transactions on investment properties in Texas are not subject to 50(a)(6) requirements and are permitted under all Cliffco Mortgage Bankers programs. Evidence must be obtained to show a Texas homestead exemption has been granted on the borrower's primary residence. Cash-out transactions on investment properties in Texas follow standard Cliffco Mortgage Bankers guidelines.

3.3.5 BORROWERS

The following borrowers are permitted on Texas Home Equity loans. All borrowers must maintain primary occupancy in the subject property:

- U.S. Citizens

- Permanent Resident Aliens
- Non-Permanent Resident Aliens

The following borrowers are not allowed:

- Co-signer(s)
- Non-occupant co-borrowers
- Borrowers not on title
- Corporations, partnerships, or LLCs
- Trusts

3.3.6 NON-BORROWING SPOUSE

A married borrower may not create a lien against the property unless his/her spouse consents to the lien by signing the following:

- Notice Concerning Extensions of Credit
- Security Instrument (including any Riders)
- Federal Truth-in-Lending (TIL) Disclosure Statement
- Right of Rescission Notice
- Discount Point Disclosure
- Acknowledgment of Fair Market Value
- Premium Pricing Disclosure
- All owners must sign the application and the Notice Concerning Extensions of Credit (English or Spanish). The signing of both documents starts the 12-day 'cooling off' period.
- Notice of Presentment of CD One Day Before Closing
- Texas Home Equity Affidavit and Agreement
- Owner's Affidavit of Compliance
- Receipt of Copies of Documents
- Certificate of Non-Cancellation of Loan

An owner-in-title (whether a spouse or individual) must sign the application and Notice Concerning Extensions of Credit (English or Spanish) at the time of application, along with all appropriate documentation.

3.3.7 REFINANCING AN EXISTING HOME EQUITY LOAN

Effective for loans made on or after 1/1/18, existing home equity loans (as identified in title work) may be refinanced as non-home equity loans and secured with a lien against the home, provided the following conditions are met:

- the refinance occurs at least a year after the home equity loan was closed;
- the additional loan amount only covers the actual costs of the refinancing, and does not provide the consumer with additional funds;
- the value of the new loan combined with the total of the outstanding principal balances of all other valid indebtedness secured by the homestead does not exceed 80% of the fair market value of the homestead on the date the extension of credit is made; and
- Cliffco Mortgage Bankers provides the homeowner the written notice (required by and promulgated under Section (f)(2)(D) and referenced below) on a separate document no later than the third business day after the date the owner submits the loan application and at least 12 days before the closing of the refinance.

The 'Notice Concerning Refinance of a Texas Home Equity Loan Pursuant to Subsection (f)(2) of Article XVI, Section 50 of the Texas Constitution', must be provided to the owner.

For loans refinancing an existing home equity loan, the loan file must include the Texas Constitution Section 50(f-1) Affidavit Acknowledging Requirements of Subsection (f)(2), which must be properly executed under Texas law by the owner/owner's spouse.

Note: All the above requirements must be met in order for the home equity loan to be refinanced as a non-home equity loan.

3.3.8 12-DAY COOLING OFF PERIOD

The Notice Concerning Extensions of Credit must be provided to the borrower in English and an additional copy of the notice translated into the written language in which the discussions were conducted. To ensure the disclosure is provided to the borrower in the correct language, the seller must add a comment to the Loan Submission form identifying the language spoken. The Disclosure Specialist must properly identify the language spoken when ordering documents.

- Loan may not be closed until at least 12 calendar days after the borrower has dated and signed the initial application and Notice Concerning Extensions of Credit.
- E-consent signatures are acceptable.
- The “cooling off” period in which the borrowers, owners-in-title, and/or spouse (including non-borrowing spouse) can change his/her mind about the Texas Home Equity first mortgage runs from the later of:
 - The date the initial loan application is signed, or
 - The date that the Notice Concerning Extensions of Credit is signed and dated by the borrowers, owners-in-title, and/or spouse.

3.3.9 PAYOFF OF DEBT

Cliffco Mortgage Bankers may require the payoff of the existing first lien as part of the loan approval when the following requirements are met:

- Cliffco Mortgage Bankers may not require any other Cliffco Mortgage Bankers owned debt be paid off as part of the transaction as a condition of loan approval.
- If the payoff of debts to other creditors is required in order to qualify the borrower, then those payoffs must be shown on the settlement statement and disbursed directly to the creditor by the title company.
- Debts that are elected to be paid off by the borrower but are not required to be paid off in order to qualify the borrower, may be disbursed directly to the borrower.

3.3.10 PROPERTY CHARACTERISTICS

All properties must be residential in nature. Tax certification and exemptions for the property are to be reviewed and must meet the following requirements:

- Property must be a principal residence constituting the borrower's homestead in state of Texas.
- The homestead property may not exceed the applicable acreage limit as determined by Texas law.
- All separate structures must be included in the homestead exemption.
- The homestead parcel, as identified on the county appraisal district records, must include ingress/egress to a properly identified public road.
- The new lien may only be secured by the homestead parcel and the market value for LTV calculation can only be assessed on that parcel.

Properties are subject to all other property and appraisal requirements detailed in the Cliffco Mortgage BankersEquity Advantage HELOC Purchase Eligibility Guidelines.

3.3.11 URBAN AND RURAL HOMESTEAD DEFINITIONS

TEXAS HOME EQUITY HOMESTEAD DEFINITIONS		
	URBAN HOMESTEAD DEFINITION	RURAL HOMESTEAD DEFINITION
ACREAGE	Acreage securing the loan may not exceed 10 acres.	Acreage may exceed 10 acres. However, the lot size must be typical and common with highest and best use as residential. In no case may the lot size exceed 20 acres.
PROPERTY LOCATION AND SERVICES	Property must be located: - Within municipal boundaries, or - Its extraterritorial jurisdiction, or - A platted subdivision and be served by police protection, paid or volunteer fire protection, and at least three of the following services provided by a Municipality or under contract to a municipality: • Electric • Natural gas • Sewer • Storm sewer • Water	The property is not located within municipal boundaries or its extraterritorial jurisdiction, or if the property is located in one of those types of areas: - It is not served by police protection or paid or volunteer fire protection provided by the municipality or under contract to a municipality, and - The municipality provides directly or under contract less than three (3) of the following services: • Electric • Natural gas • Sewer • Storm sewer • Water

Properties determined to be 'Urban' cannot exceed 10 acres. Property determined to be 'Rural' may not exceed 20 acres. The property should conform to and be acceptable in the market area. The appraisal must include the actual size of the site and not a portion of the site. See program-specific guidelines and matrices for any additional property restrictions.

3.3.12 CLOSING REQUIREMENTS

3.3.12.1 ATTORNEY REVIEW

All documents will be reviewed by Black, Mann, and Graham, LLP prior to sending the closing package to the settlement agent for closing.

3.3.12.2 CLOSING DISCLOSURE AND FINAL LOAN APPLICATION

The final Closing Disclosure (CD) and a copy of the final loan application must be delivered to/accepted by the borrower(s) during normal business hours. Cliffco Mortgage Bankers is responsible for ensuring all timing requirements under Regulation Z and state law are complied with.

Borrower must sign the Acknowledgment of Itemization of Fees, Points, Interest, Costs and Charges for Texas Home Equity Loan or Line of Credit to evidence their receipt of the final Closing Disclosure and loan application.

3.3.12.3 POINTS AND FEES

Borrower paid fees are limited to 2% of the principal balance (including the origination fee). The following are not included in the 2% limitation:

- Lender-paid closing costs
- Per diem interest
- Bona fide discount points used to reduce the interest rate
- Escrow/impound funds
- Appraisal fee paid to third-party appraiser
- Surveys (completed by state registered or licensed surveyors)
- A state base premium for a mortgagee policy of title insurance with endorsements established in accordance with state law; or if a mortgagee title policy is not issued, a title examination report (if cost is less than the state base premium for a mortgagee title policy without endorsements)

If borrowers are paying discount points, the borrowers, owners-in-title and/or spouse must execute the TX Home Equity Discount Point Acknowledgment.

Only fees which are allowed by State Law and RESPA/ECOA regulatory guidelines can be charged to the borrower and MUST be accurate and reflected on the Loan Estimate (LE) and the Closing Disclosure (CD).

3.3.12.4 POWER OF ATTORNEY

Power of Attorney is not allowed.

3.3.12.5 SURVEY

Surveys are required on all Texas Home Equity transactions to ensure the following:

- Confirm lot size
- Evidence homestead property and any adjacent land are separate
- Evidence of homestead and property is a separately platted and subdivided lot for which full ingress and egress is available
- Properties must be served by municipal utilities, fire, and police protection
- Homestead must be separate parcel within permissible acreage

3.3.12.6 TITLE

A title insurance policy written on Texas Land Title Association forms (standard or short) including T42 and T42.1 endorsements is required.

For self-employed borrowers operating a business from the homestead property, the title company must issue a T42.1 endorsement without exception or deletion.

Title may not include language that:

- excludes coverage for a title defect that arises because financed origination expenses are held not to be “reasonable costs necessary to refinance”; or
- defines the “reasonable costs necessary to refinance” requirement as a “consumer credit protection” law since the standard title policy excludes coverage when lien validity is questioned due to a failure to comply with consumer credit protection laws.

Loans must be closed in a Texas title company’s office or attorney’s office. No mobile notaries are permitted.

3.3.13 TEXAS HOME EQUITY DOCUMENTS

The following additional Texas Home Equity specific documents must be included in the closing package:

- Notice Concerning Extensions of Credit (signed by each owner of the property and each spouse of an owner)
- Acknowledgment of Fair Market Value of Homestead Property (borrower must sign at closing with an appraisal attached to the Acknowledgment)
- Notice of Right to Cancel (signed by each owner of the property and each spouse of an owner)
- Texas Home Equity Security Instrument (Form 3044.1)
- Texas Home Equity Note (Form 3244.1)
- Texas Home Equity Affidavit and Agreement (Form 3185)
- Texas Home Equity Condo Rider (Form 3140.44), if applicable
- Texas Home Equity PUD Rider (Form 3150.44), if applicable
- Texas Home Equity Certificate from Originating Lender's Regarding Compliance with Section 50(a)(6) Article XVI of the Texas Constitution signed by the Attorney
- Texas Home Equity Discount Point Acknowledgment, if applicable
- Affidavit of Non-Homestead for all other dwellings, if borrower owns more than one
- Detailed closing instruction letter acknowledged by title company (Compliance Requirements for Texas Home Equity Loans)
- Note for any re-subordinating second (cannot be an (a)(6) Note, a new loan or a HELOC) with subordination agreement, if applicable

4 BORROWERS

4.1 CUSTOMER IDENTIFICATION PROGRAM (CIP)

The USA Patriot Act requires banks and financial institutions to verify the name, date of birth, address, and identification number of all borrowers. Social security numbers can be validated with a copy of the social security card, an executed SSA-89 form, or through fraud report verification. Cliffco Mortgage Bankers will follow the published CIP procedures for each borrower to ensure the true identity of all borrowers has been documented and will also require settlement agents to verify identity at the time of closing on all loans.

4.2 FRAUD REPORT AND BACKGROUND CHECK

All loans must include a third-party fraud detection report for all borrowers. Report findings must cover standard areas of quality control including, but not limited to: borrower validation, social security number verification, criminal records, and property information (subject property and other real estate owned). All high-level alerts on the report must be addressed by Cliffco Mortgage Bankers.

In addition to the fraud and background check requirements, Cliffco Mortgage Bankers will upload, as a matter of file documentation, any unsuccessful fraud report return if the background check is not available.

4.3 U.S. CITIZENS

U.S. citizens are eligible for financing.

4.4 PERMANENT RESIDENT ALIENS

Permanent resident aliens are eligible for financing.

Acceptable evidence of lawful permanent residency must be documented and meet one of the following criteria:

- I-151 - Permanent Resident Card (Green Card) that does not have an expiration date
- I-551 - Permanent Resident Card (Green Card) issued for 10 years that has not expired
- I-551 - Conditional Permanent Resident Card (Green Card) issued for 2 years that has an expiration date, as long as it is accompanied by a copy of USCIS Form I-751 requesting removal of the conditions
- Un-expired Foreign Passport with an un-expired stamp reading as follows: “Processed for I-551 Temporary Evidence of Lawful Admission for Permanent Residence. Valid until mm-dd-yy. Employment Authorized.”

4.5 NON-PERMANENT RESIDENT ALIENS

Non-Permanent Resident Alien borrowers are eligible.

4.5.1 VERIFICATION OF RESIDENCY STATUS

The following visa classifications are allowed as Non-Permanent Resident Aliens:

- E-1, E-2, E-3
- G-1 through G-5
- H-1B & C, H-2 through H-4
- L-1B, L-2
- NATO 1 through 6
- O-1
- R-1
- TN-1 & 2 (NAFTA)

Copies of the borrower's passport and unexpired visa must be obtained. Acceptable alternative documentation to verify visa classification is an I-797 form (Notice of Action) with valid extension dates and an I-94 form (Arrival/Departure Record). Borrowers unable to provide evidence of lawful residency status in the U.S. are not eligible for financing.

A valid employment authorization document (EAD) must be obtained if the visa is not sponsored by the borrower's current employer. If the visa will expire within 6 months of loan application, it is acceptable to obtain a letter from the employer documenting the borrower's continued employment and continued visa renewal sponsorship (employer on the loan application must be the same as on the unexpired visa).

If a non-U.S. citizen is borrowing with a U.S. citizen, it does not eliminate visa or other residency requirements. Individuals in possession of spouse or family member visas are to qualify as co-borrowers only. A valid EAD must be provided to use income for qualification.

Borrowers who are residents of countries which participate in the State Department's Visa Waiver Program (VWP) will not be required to provide a valid visa. Participating countries can be verified through the U.S. Department of State website at <https://travel.state.gov/content/travel/en/us-visas/tourism-visit/visa-waiver-program.html>.

Citizens of Venezuela are ineligible for Cliffco Mortgage Bankers programs.

4.5.2 CREDIT REQUIREMENTS

A U.S. credit report is required for each borrower using a valid Social Security number. The primary wage-earner must qualify using Standard Tradelines as outlined in [5.4 Tradeline Requirements](#). A 12-month housing history is also required. See [5 Credit Analysis](#) for complete credit requirements.

4.5.3 INCOME/EMPLOYMENT REQUIREMENTS

Standard guidelines apply for verifying income and employment of Non-Permanent Resident Aliens.

4.6 EXCLUSIONARY LIST/OFAC/DIPLOMATIC IMMUNITY

All parties involved on each transaction must be screened through exclusionary lists used by Cliffco Mortgage Bankers .

Parties to the transaction must also be cleared through OFAC's SDN List (borrowers, property sellers, employers, banks, etc.). A search of the Specially Designated Nationals and Blocked Persons List may be completed via the U.S. Department of the Treasury website at <https://sanctionssearch.ofac.treas.gov/>.

Borrowers from OFAC sanctioned countries are ineligible. A list of sanctioned countries is available at <https://home.treasury.gov/policy-issues/financial-sanctions/sanctions-programs-and-country-information>.

Individuals with diplomatic immunity are not eligible due to the inability to compel payment or seek judgment. Verification the borrower does not have diplomatic immunity can be determined by reviewing the visa, passport, and/or the U.S. Department of State's Diplomatic List at <https://www.state.gov/resources-for-foreign-embassies/deans-of-the-diplomatic-corps/>.

4.7 EMPLOYEES OF SELLER

Loans to employees of the seller are allowed. Transactions must meet the following requirements:

- Primary residence and second homes only
- Officers of the seller are permitted on an exception basis only

4.8 VESTING AND OWNERSHIP

Acceptable forms of vesting with Fee Simple ownership are:

- Individuals
- Joint Tenants
- Tenants in Common
- Inter Vivos Revocable Trust
- Business Entity (Investment Properties only)
 - LLC - Limited Liability Company (members of the LLC may also not be a trust)
 - Limited and General Partnerships
 - Corporations
 - S Corporations

Leasehold estates and land contract/contract for deed transactions are not permitted.

4.8.1 INTER VIVOS REVOCABLE TRUST VESTING

Inter Vivos Revocable Trusts are allowed as vested or titled owners of the subject property (but not as borrowers). The trust must be established by one or more natural persons, solely or jointly. The primary beneficiary of the trust must be the individual(s) who establishing the trust. The trust must become effective during the lifetime of the person establishing the trust.

If the trust is established jointly, there may be more than one primary beneficiary as long as the income of at least one of the individuals establishing the trust will be used to apply and qualify for the mortgage.

The trustee must include either:

- The individual establishing the trust (or at least one of the individuals, if 2 or more); or
- An institutional trustee that customarily performs trust functions in and is authorized to act as trustee under the laws of the applicable state.

The trustee must have the power to hold the title and mortgage the property. This must be specified in the trust. One or more of the individual parties establishing the trust must use personal income to apply and qualify for the mortgage.

A copy of the trust is required, or a signed attorney's opinion may be obtained in lieu of the trust documents. The opinion letter must indicate that the trust meets all published requirements and must also include the following:

- Name of the trust
- Date executed
- Settler(s) of the trust
- Whether it is revocable or irrevocable
- Whether the trust has multiple trustees
- Name of trustees
- Manner in which vesting will be held

The attorney needs to also verify that the trust has not been revoked, modified, or amended in any manner that would cause the representations to be incorrect.

The deed of trust/mortgage and all attached riders must be completed by the authorized trustee(s) of the trust that is the vested owner of the subject property.

4.8.2 BUSINESS ENTITY VESTING

Ownership or title vesting in the name of a U.S. domestic LLC, partnership, or corporation (collectively 'Entity') is acceptable on investment property transactions only.

To vest ownership in an Entity but close in the name of a natural person, the following must be met:

- Business purpose and activities are limited to ownership and management of real estate.
- Entity limited to a maximum of 8 owners (aka members, partners, or shareholders).
- A minimum of 50% of Entity ownership must be represented as borrowers on the loan, each completing a 1003 as applicants. A maximum of 2 individuals may be on the loan application.
- Members of the LLC may also not be a trust.
- The loan application, credit report, income (if applicable), and assets for each Entity owner represented will be used to determine qualification and pricing.
- Each Entity owner represented must receive notice of the loan and its terms prior to closing.

The following Entity documentation must be provided:

- Entity Articles of Organization, Partnership, and Operating Agreements (if applicable)
- EIN-Employer Identification Number (or W-9 with acceptable third-party verification)
- Certificate of Good Standing
- Certificate of Authorization for the person executing all documents on behalf of the Entity

Documents must be completed and signed by each individual applicant (in their capacity as an individual only) that is an owner of the vesting Entity, as follows:

- Business Purpose & Occupancy Affidavit - signed at closing by each Entity owner represented.
- Loan Application (1003) - completed and signed by each Entity owner represented. 1003 section labeled "Title will be held in what Name" should be completed with Entity name only.
- Disclosures - completed and signed by each Entity owner represented.
- Closing Documents - completed by each Entity owner represented.
- Deed of Trust/Mortgage and all attached Riders - must be completed by the authorized owner(s) representative who can legally sign for the Entity that is the vested owner of the subject property.

4.9 MULTIPLE FINANCED PROPERTIES AND CLIFFCO MORTGAGE BANKERSEXPOSURE

Cliffco Mortgage Bankers exposure for each individual borrower may not exceed 5 HELOC loans or \$2.5M aggregate, whichever is first. Exceptions to this policy will be reviewed on a case-by-case basis.

There is no limit on the number of other properties borrowers may currently have financed.

4.10 LIMITED POWER OF ATTORNEY

A Limited Power of Attorney (POA) is not allowed.

4.11 INELIGIBLE BORROWERS

The following borrowers are not eligible:

- Entity borrowers (LLCs, partnerships, or corporations)
- Non-occupant co-borrower(s)
- Co-signer(s)
- Foreign Nationals
- ITIN Borrowers
- Borrowers with diplomatic immunity or otherwise excluded from U.S. jurisdiction
- Residents of any country not permitted to transact business with US companies are ineligible (as determined by any U.S. government authority)
- Trusts (certain trusts may qualify for ownership vesting only)
- Land Trusts
- Borrowers less than 18 years old

5 CREDIT ANALYSIS

5.1 EQUAL CREDIT OPPORTUNITY ACT, FAIR HOUSING ACT & STATE FAIR LENDING LAWS

The Federal Equal Credit Opportunity Act prohibits lenders from discriminating against credit borrowers on the basis of race, color, religion, national or ethnic origin, sex, marital or familial status, age (provided the borrower has the capacity to enter into a binding contract), disability, because all or part of the borrower's income is derived from a public assistance program or because the borrower has, in good faith, exercised any rights under the Consumer Credit Protection Act. State laws may also prohibit discrimination on certain additional basis such as sexual orientation.

Similarly, the Fair Housing Act prohibits lenders from discriminating against mortgage borrowers on the basis of race, color, religion, sex, familial status, national origin, or disability.

Cliffco Mortgage Banker expects lenders originating loans submitted to Cliffco Mortgage Banker to adhere to the letter and spirit of federal and state fair lending laws.

5.2 CREDIT REPORT

A credit report and a valid Social Security number (SSN) are required for every borrower. The credit report should provide merged credit information from the 3 major national credit repositories.

Either a three-bureau merged report or a Residential Mortgage Credit Report (RMCR) is required. The credit report should include verification of all credit references provided on the loan application and must certify the results of public record searches for each city where the individual has resided in the last 2 years.

5.2.1 AGE OF CREDIT REPORT/CREDIT DOCUMENTATION

All credit documentation, including the credit report, may not be more than 120 days old at the time of closing. A credit refresh report will be obtained by Cliffco Mortgage Banker within 10 days of the closing/note date.

5.2.2 FRAUD ALERTS

The three national credit repositories have developed automated messaging to help identify possible fraudulent activity on a credit report. Examples of fraud alerts include:

- Initial 90-day Fraud Alert
- Extended Fraud Alert
- Active-Duty Alert
- HAWK Alert

All Fraud Alerts must be properly addressed and resolved. The actions must be reasonable and compliant with applicable laws. An underwriting decision cannot be made without full resolution of the alert.

5.2.3 CREDIT REPORT SECURITY FREEZE

The credit report used to evaluate a loan may not reflect a security freeze and must be resolved prior to an underwriting decision. If a borrower unfreezes his or her credit after the date the original credit report was ordered, a new three-bureau merged report must be obtained to reflect current and updated information from all repositories.

5.2.4 INQUIRIES

A signed letter of explanation from the borrower or creditor is required for all inquiries within the most recent 90 days to determine whether additional credit was granted as a result of the borrower's request.

5.2.5 UPDATED PAYMENT HISTORIES

Payment histories may be requested directly from a creditor when the credit report indicates delinquencies have been removed or when the majority of credit is from a non-institutional lender.

5.2.6 GAP CREDIT REPORT

A gap credit report is required within 10 business days of closing.

Evidence of an active Debt Monitoring Service is acceptable in lieu of a gap credit report. The Debt Monitoring Service must be in effect within 10 days of closing. If written evidence cannot be provided, a processor cert or lender attestation stating no new debts are present is allowed.

5.3 CREDIT SCORE REQUIREMENTS

The primary wage-earner score is used as the Representative Credit Score for each loan. The primary wage-earner must have a valid score from at least 2 of the following 3 agencies: Experian (FICO), TransUnion (Empirica), and Equifax (Beacon). Only scores from these agencies are acceptable.

To determine the Representative Credit Score for the primary wage-earner, select the middle score when 3 agency scores are provided and the lower score when only 2 agency scores are provided. When qualifying income amount is equal for all borrowers on the loan, the highest Representative Credit Score of all borrowers will be used.

The minimum Representative Credit Score required for primary and second homes is 660, and the minimum score for investment properties is 700. Additional borrowers on the loan must have at least one valid score of 620 or greater.

5.4 TRADELINE REQUIREMENTS

MINIMUM TRADELINES			
	OCCUPANCY	TRADELINE HISTORY	MINIMUM STANDARDS
STANDARD TRADELINES	Primary and Second Homes	3 tradelines reporting for 12+ months with activity in last 12 months or 2 tradelines reporting for 24+ months with activity in last 12 months or ***1 tradeline for 36+ months with activity in the last 12 months	**0x60 for most recent 12 months
	Investment		
*LIMITED TRADELINES	Primary only	Does not meet minimum tradeline requirements	N/A
<i>*Limited Tradelines allowed on primary residence transactions only with a max CTLV of 75%.</i> <i>**Applies only to tradelines being used to meet minimum number of trades.</i> <i>***Tradeline must be a mortgage account or installment account.</i>			

To qualify as a valid tradeline, the following requirements apply:

- The credit line must be reflected on the borrower's credit report
- The account must have activity in the past 12 months and may be open or closed
- Tradelines used to qualify may not exceed 0x60 in the most recent 12 months
- An acceptable 12- or 24-month housing history not reporting on credit may also be used as a tradeline

Only the primary wage-earner must meet the minimum tradeline requirements listed above.

Credit lines on which the borrower is not obligated to make payments are not acceptable for establishing a minimum history. Examples of unacceptable tradelines include loans in a deferment period, collection or charged-off accounts, accounts discharged through bankruptcy, and authorized user accounts. Student loans can be counted as tradelines as long as they are in repayment and are not deferred.

5.5 MORTGAGE AND RENTAL PAYMENT VERIFICATION

Mortgage and rental payments not reflected on the original credit report must be documented via an institutional Verification of Rent or Verification of Mortgage (VOR/VOM). A combined total of all late mortgage and rental payments in the past 12 months must be used to determine the housing history. Properties owned free and clear are considered 0x30 for grading purposes.

If the borrower is making payments to an individual or interested party, 12 months of cancelled checks or bank statements must be obtained. A VOR/VOM is not required but may be requested for clarification.

All mortgages and rental payments should be current at time of closing. If the credit report or VOR/VOM reflects a past-due status, updated documentation is required to verify account is current.

See the Cliffco Mortgage BankersEquity Advantage HELOC Matrix for max allowable housing payment lates.

5.5.1 MORTGAGE MODIFICATION

A mortgage modification resulting in any of the attributes listed below is subject to Housing Event seasoning guidelines under [5.13 Housing Events](#):

- Forgiveness of a portion of principal and/or interest on either the first or second mortgage
- Application of a principal curtailment by or on behalf of the investor to simulate principal forgiveness
- Conversion of any portion of the original mortgage debt to a “soft” subordinate mortgage
- Conversion of any portion of the original mortgage debt from secured to unsecured

5.6 ROLLING LATE PAYMENTS

Rolling late payments are not considered a single event. Each occurrence of a contractual delinquency is considered individually for loan eligibility.

5.7 LAWSUIT/PENDING LITIGATION

If the application, title, or credit documents reveal that the borrower is presently involved in a lawsuit or pending litigation, the loan is ineligible.

5.8 PAST DUE ACCOUNTS

Past due consumer debts can be no more than 30 days past due at time of closing.

5.9 CONSUMER CREDIT COUNSELING SERVICE (CCCS)

Borrowers currently enrolled in CCCS are not permitted.

5.10 COLLECTIONS AND CHARGE-OFFS

The following accounts may remain open:

- Collections and charge-offs < 24 months old with a maximum cumulative balance of \$2,000
- Collections and charge-offs ≥ 24 months old with a maximum of \$2,500 per occurrence
- Collections and charge-offs that have passed beyond the statute of limitations for that state (supporting documentation required)
- All medical collections

Collection and charge-off balances exceeding the amounts listed above must be paid in full.

5.11 JUDGMENTS AND TAX LIENS

All judgments or liens affecting title must be paid as title must insure our lien position without exception.

5.12 BANKRUPTCY

All bankruptcies must be discharged or dismissed for a minimum of 48 months from application date.

5.13 HOUSING EVENTS

Housing Events must be seasoned for a minimum of 48 months from application date. A Housing Event is any one of the following events listed below:

- Foreclosure
- Deed-in-Lieu
- Short Sale
- Modification
- 1x120 mortgage history

Seasoning of a foreclosure, deed-in-lieu, or short sale is measured from the date of completed sale or final property transfer. The Housing Event must be completed prior to application date with no outstanding deficiency balance remaining.

For a 120-day mortgage late, seasoning is from the date the mortgage was brought current. Seasoning for a modification is from the date the modification was executed. See also [5.5.1 Mortgage Modification](#).

If the property was surrendered in a Chapter 7 bankruptcy, the bankruptcy discharge date is used for seasoning. Bankruptcy papers may be required to show the property was surrendered. The foreclosure action is not required to be fully complete.

6 LIABILITIES

6.1 SENIOR LIENS

Cliffco Mortgage Bankers will not permit loans in first lien position to contain any risk features that could impact the borrower's ability to repay. Terms of the subject property first lien must be obtained.

Verify the first lien P&I payment and terms with either:

- Copy of the first lien note, or
- Copy of the most recent monthly mortgage payment statement.

Note: Additional first lien documentation may be required to provide sufficient data for underwriting. See also [9.3 Qualifying Payment for Senior Liens](#).

6.2 INELIGIBLE SENIOR LIENS

Ineligible Senior Lien terms include, but are not limited to:

- Loans in active forbearance or deferment
- Negative amortization
- Balloon, if the balloon payment becomes due during the amortization period of the new 2nd lien
- Reverse mortgages
- Private mortgages opened within the past 12 months
- Mortgages not reporting on credit
- Tax and judgment liens
- HELOCs

6.3 HELOC PAYMENT FOR NON-SUBJECT PROPERTIES

Any outstanding Home Equity Line of Credit (HELOC) must be included in the borrower's monthly debt-to-income (DTI) ratio when calculating mortgage eligibility.

- If a monthly payment is reported on the credit file, that amount must be used.
- If no payment is reported and no documentation is provided, a default payment equal to 1.5% of the outstanding balance must be applied.
- HELOCs with a zero balance are excluded from DTI unless documentation indicates a payment obligation.
- During the draw period, HELOC payments are typically variable and must cover at least accrued interest. Borrowers must provide documentation of HELOC terms and payment obligations to validate eligibility.

6.4 INSTALLMENT DEBT

Installment debt is a monthly obligation with fixed payments and terms. Payments on installment loans must be included in the borrower's debt-to-income ratio.

Payments can be excluded if there are 10 or fewer monthly payments remaining to pay the debt in full. If the payment is substantial and exceeds 5% of the borrower's qualifying income, the overall transaction should be reviewed to ensure the remaining payments will not impact the borrower's ability to handle the new mortgage payment.

Installment debt paid in full prior to closing can be excluded from the debt-to-income ratio. Supporting documentation, such as a credit supplement or direct verification from the creditor, must be obtained as evidence the debt has been paid in full.

6.5 REVOLVING DEBT

Revolving debt is open-ended debt in which the principal balance may vary from month to month. The minimum required payment as stated on the credit report or current account statement should be used to calculate the debt-to-income ratio. If no payment is stated on the credit report, the greater of \$10 or 5% of the current balance should be included in the debt-to-income ratio calculation.

Revolving accounts are allowed to be paid off prior to or at closing in order to exclude the payment from the debt ratio. Supporting documentation, such as a credit supplement or direct verification from the creditor, must be obtained as evidence the debt has been paid in full.

6.6 AUTHORIZED USER ACCOUNTS

Authorized user account should not be considered in the borrower's debt-to-income ratio.

6.7 BUSINESS DEBT

A business debt is a financial obligation of a business and can be the sole responsibility of the business or be personally secured by the business owner, making that person also liable for the debt. If the debt is reflected on the borrower's personal credit report, the borrower is personally liable for the debt, and it must be included in the debt-to-income ratio.

Debts paid by the borrower's business can be excluded from the debt-to-income ratio with any of the following supporting documentation:

- Most recent 3 months canceled checks drawn against the business account; or
- Tax returns reflect the business expense deduction; or
- Business bank account statement showing assets with a balance greater than or equal to the balance of the debt.

6.8 CHILD SUPPORT, ALIMONY OR MAINTENANCE OBLIGATIONS

Monthly alimony, child support or separate maintenance fees should be current at time of application and must be included in the borrower's debt-to-income ratio. File should contain supporting documentation as evidence of

the obligation, such as a final divorce decree, property settlement agreement, signed legal separation agreement, or court order. If payments are past due, the arrearages must be brought current prior to loan closing.

If 10 or fewer payments remain, see [6.4 Installment Debt](#) to determine if the obligation may be excluded from the DTI calculation.

6.9 CONTINGENT LIABILITIES

An individual has a contingent liability when an outstanding debt has been assigned to another party and the creditor does not release the borrower from liability. Contingent liabilities can be excluded from the debt-to-income ratio under any of the following scenarios:

- Property resulting from buyout of former co-owner, e.g., divorce: file must include the court order and evidence of transfer of ownership
- Mortgage assumption by third party: file must include the formal assumption agreement and evidence of transfer of ownership
- Court ordered assignment of debts: file must include a copy of the court order assigning the debt to another party

The payment history for the assigned debt after the effective date of the assignment does not need to be evaluated.

6.10 DEBTS PAID BY OTHERS

When a borrower is obligated on a non-mortgage debt but is not the party actually repaying the debt, the monthly payment may be excluded from the borrower's recurring monthly obligations. This policy applies whether or not the other party is obligated on the debt but does not apply if the other party is an interested party to the subject transaction (such as the seller or realtor). Non-mortgage debts include installment loans, student loans, revolving accounts, lease payments, alimony, child support, and separate maintenance.

When a borrower is obligated on a mortgage debt but is not the party who is actually repaying the debt, the full monthly payment may be excluded from the borrower's recurring monthly obligations if:

- the party making the payments is obligated on the mortgage debt,
- there are no delinquencies in the most recent 12 months, and
- the borrower is not using rental income from the applicable property to qualify.

In order to exclude non-mortgage or mortgage debts from the borrower's DTI ratio, the most recent 12 months' canceled checks (or bank statements) must be obtained from the other party making the payments that document a 12-month payment history with no delinquent payments. When a borrower is obligated on a mortgage debt, regardless of whether or not the other party is making the monthly mortgage payments, the referenced property must be included in the count of financed properties.

6.11 HOUSING PAYMENTS

The monthly mortgage payment (PITIA) used for qualification consists of the following:

- Principal and Interest
- Hazard and flood and insurance premiums
- Real Estate Taxes
- Special Assessments
- Association Dues
- Any subordinate financing payments on mortgages secured by the subject property

6.12 LEASE OBLIGATIONS

Lease obligations must be included in the debt-to-income ratio calculation, regardless of time remaining on the lease.

6.13 MATERIAL RECURRING NON-DEBT OBLIGATIONS

Sellers are not permitted to make inquiries or verifications prohibited by Regulation B.

A recurring non-debt obligation is defined as medical expenses for the borrower or a dependent of the borrower that are expected to continue for greater than one year.

If the borrower informs the seller of a recurring non-debt obligation, the loan file must be noted. If the seller believes it could be material to the borrower's ability to repay the loan, escalation is required. Documentation of material recurring non-debt obligations should be done consistent with seller's ability to repay policies and in a form acceptable to Cliffco Mortgage Bankers .

6.14 OPEN 30-DAY CHARGE ACCOUNTS

For open 30-day charge accounts that do not reflect a monthly payment on the credit report, or 30-day accounts that reflect a monthly payment that is identical to the account balance, 5% of the outstanding balance will be considered to be the required monthly payment.

Open-end accounts do not have to be included in the monthly debt payment if the borrower has sufficient funds to pay off the outstanding account balance. The funds must be verified.

If the borrower paid off the account balance prior to closing, proof of payoff may be provided in lieu of verifying funds to cover the account balance.

6.15 RETIREMENT/SAVINGS PLAN LOANS

Repayment for loans against a financial asset (retirement/savings plan, insurance policy) can be excluded from the total debt-to-income ratio provided the debt can be repaid by liquidating the asset.

6.16 STUDENT LOANS

If a monthly student loan payment is provided on the credit report, that amount may be used for qualifying purposes. If the credit report does not reflect the correct monthly payment, the monthly payment that is on the student loan documentation (the most recent student loan statement) may be used to qualify the borrower.

If the credit report does not provide a monthly payment for the student loan, or if the credit report shows \$0 as the monthly payment, then the qualifying monthly payment must be determined using one of the options below:

- If the borrower is on an income-driven payment plan, student loan documentation may be obtained to verify the actual monthly payment is \$0. The borrower may then qualify with a \$0 payment.
- For deferred loans or loans in forbearance, the following must be calculated:
 - a payment equal to .5% of the outstanding student loan balance (even if this amount is lower than the actual fully amortizing payment); or
 - fully amortizing payment using the documented loan repayment terms.

6.17 TIMESHARES

For credit review purposes, timeshare obligations will be considered installment loans.

6.18 UNDISCLOSED DEBTS

If asset statements provided reflect payments made on obligations not listed on the credit report or 1003, additional information must be obtained to determine if the liability should be included in the borrower's debt-to-income ratio.

If the obligation does not belong to the borrower, supporting documentation is required. If there is a non-borrower also on the account, a signed letter of explanation from the borrower is sufficient.

If the borrower is the obligor on the debt, an account statement and pay history should be obtained to review the account for acceptability. The payment must be included in the debt ratio.

7 DOCUMENTATION

7.1 AGE OF LOAN DOCUMENTATION

Unless otherwise noted, all loan documentation must be dated within 90 days of closing.

7.2 EMPLOYMENT/INCOME DOCUMENTATION

Employment and income may be documented with Full Documentation or Bank Statement Documentation.

7.2.1 IRS FORM 4506-C

IRS Form 4506-C must be completed and signed by all the borrowers both at application and closing. The form must request the appropriate documentation type (W-2s, full tax transcripts, etc.) and be executed by Cliffco Mortgage Bankers prior to closing. 4506-C forms and transcripts are not required for business tax returns or loans utilizing Bank Statement Documentation for income.

Documentation received from executing the 4506-C must be reviewed and compared to the qualifying income to confirm consistency. Results from processing the 4506-C should generally be equal to or greater than the income used to qualify the loan. Any inconsistencies between the 4506-C results and qualifying income should be addressed by the Cliffco Mortgage Bankers Underwriter.

7.2.2 PAY STUBS AND W-2S

Pay stubs and W-2s must be typed or computer generated. They should provide the borrower's full name, address, employer name, year-to-date earnings, and rate of pay.

If pay stubs reflect garnishments (child support, IRS, etc.) or any loan deductions, additional information will be required to determine if a monthly payment should be included in the debt-to-income ratio calculation.

W-2s should reflect a nine-digit Employer ID Number (EIN). Also, Social Security and Medicare withholding should be calculated at the appropriate rates on the W-2s and pay stubs.

Note: Any income received by the borrower in the form of virtual currency, such as cryptocurrencies, is not eligible to be used to qualify for the loan. For income types that require sufficient remaining assets to establish continuance, those assets cannot be in the form of virtual currency.

7.2.3 FEDERAL INCOME TAX RETURNS

For some types of income, federal income tax returns (personal and/or business) are required. See [8.6.25 Self-Employed Income](#) for detailed requirements.

7.2.4 WRITTEN VERIFICATION OF EMPLOYMENT (WVOE)

Income and employment for wage-earners or salaried borrowers may be obtained via direct written verification from the borrower's employer (FNMA Form 1005). The verification should be signed by a member of the company's human resource department or one of the business owners or officers. At a minimum, the verification must include the borrower's name, position, dates of employment, and base salary.

7.2.5 VERBAL VERIFICATION OF EMPLOYMENT (VVOE)

Verbal Verifications of Employment must be obtained for each borrower using employment income to qualify. VVOEs must meet all of the following criteria:

- Completed within 10 business days of closing
- Confirm that the borrower is employed at time of verification
- Include the name and phone number of the person processing the VVOE
- Include the name, position and phone number of the person providing the verification (employer)
- Telephone number for the borrower's employer must be verified independently via any of the following: telephone book, the internet, directory assistance, or by contacting the applicable licensing bureau

For self-employed borrowers, the existence of the business must be independently verified through a disinterested third party within 10 business days of closing. The loan file should reflect the documentation secured from these sources. Sources may include:

- CPA, regulatory agency, or applicable licensing bureau
- Secretary of State listing reflecting current year registration
- Verification of a phone and address listing using the internet

If the documentation is over 30 days old, an Account Manager's Certification verifying employment with the CPA is acceptable. An updated Secretary of State listing or phone and address listing from the internet are also acceptable.

7.3 ASSET DOCUMENTATION

No cash to close and/or reserves are required.

8 EMPLOYMENT/INCOME ANALYSIS

8.1 DOCUMENTATION TYPES

8.1.1 WAGE-EARNERS

Income derived from a consistent hourly, weekly, or monthly wage must be verified by all of the following:

- W-2s for the most recent year, and
- Pay stub(s) covering the most recent 30-day period providing year-to-date earnings; and
- Signed and executed 4506-C (W-2 transcripts only); and
- Verbal Verification of Employment (VVOE) completed within 10 business days of closing.

8.1.2 SELF-EMPLOYED BORROWERS

See [8.6.25 Self-Employed Income](#) for detailed documentation requirements.

8.1.3 BANK STATEMENT DOCUMENTATION

Self-employed borrowers may document income with either of the following:

- Personal Bank Statements: 12 months complete personal bank statements
- Business Bank Statements: 12 months complete business bank statements

8.1.4 EQUITY ADVANTAGE DSCR

See [8.4 Equity Advantage DSCR](#) for detailed requirements.

8.2 PERSONAL BANK STATEMENT DOCUMENTATION

Self-employed borrowers are eligible for Personal Bank Statement Documentation.

8.2.1 REQUIREMENTS

The following requirements apply to utilize personal bank statements for income:

- Borrower must be self-employed for at least 2 years.
- Business must be in existence for at least 2 years.
- Cliffco Mortgage Bankers Self-Employed Business Narrative Form (or equivalent) is required.
- All parties listed on each bank account must be included as borrowers on the loan.
- Statements must be consecutive and reflect the most recent months available.
- Statements must support stable and generally predictable deposits. Unusual deposits must be documented.
- Multiple bank accounts may be used, but a combination of Personal Bank Statement Documentation

and Business Bank Statement Documentation is prohibited.

- Evidence of a decline in earnings may result in disqualification.
- NSF activity in the past 12 months must be satisfactorily explained by the borrower. Excessive NSF or overdraft activity may preclude the borrower from bank statement eligibility.
- If bank statements provided reflect payments being made on obligations not listed on the credit report, see [6.18 Undisclosed Debts](#) for additional guidance.
- W-2 Wages: Additional income deposited into the bank statements but derived from a source other than the self-employed business may not be included in the bank statement average. W-2 earnings must be documented as per the requirements in [8.1.1 Wage-Earners](#) along with a processed 4506-C verifying the W-2 earnings only.
- Rental Income: Rental income received as a secondary income source may be used when:
 - Bank statements reflecting regular deposits of the rental income for the most recent 3 months are provided (must be from an account not used for income qualification)
 - Rental income calculated at 75% of the current lease minus the full PITIA

8.2.2 DOCUMENTATION

The following documentation is required to utilize personal bank statements for income:

- 12 months complete personal bank statements from the same account (transaction history printouts are not acceptable)
- 2 months most recent business bank statements:
 - Statements must evidence activity to support business operations, and
 - Statements must reflect transfers to the personal account being used.
 - Note: If business bank statements are not available, the loan must be submitted/qualified as a Business Bank Statement Documentation loan (see [8.3 Business Bank Statement Documentation](#) for complete requirements).
- Cliffco Mortgage Bankers Self-Employed Business Narrative Form (or equivalent)
- Verification borrower has owned and business has been in existence for 2 years
- Verification of business existence required within 10 business days of closing

8.2.3 ANALYZING THE PERSONAL BANK STATEMENTS

The following requirements apply when analyzing the personal bank statements:

- Large and/or unusual deposits may require additional documentation including letters of explanation, third party documentation, etc.
- Transfers from a business account into a personal account are acceptable.
- Transfers between personal accounts must be excluded.

- Evidence of business receipt and expense activity is not permitted in personal bank accounts. Evidence of such activity will require the loan to qualify as a Business Bank Statement Documentation loan (see [8.3 Business Bank Statement Documentation](#)).

8.2.4 CALCULATING QUALIFYING INCOME

Qualifying income using Personal Bank Statement Documentation is as follows:

$$\text{Personal Bank Statement Average} = \frac{\text{Total Deposits (minus disallowed deposits)}}{12 \text{ months}}$$

8.3 BUSINESS BANK STATEMENT DOCUMENTATION

Self-employed borrowers are eligible for Business Bank Statement Documentation.

8.3.1 REQUIREMENTS

The following requirements apply to utilize business bank statements for income:

- Borrower must be self-employed for at least 2 years.
- Business must be in existence for at least 2 years.
- Cliffco Mortgage Bankers Self-Employed Business Narrative Form (or equivalent) is required.
- Statements must be consecutive and reflect the most recent months available.
- Statements must support stable and generally predictable deposits. Unusual deposits must be documented.
- Multiple bank accounts may be used, but a combination of Personal Bank Statement Documentation and Business Bank Statement Documentation is prohibited.
- Evidence of a decline in earnings may result in disqualification.
- NSF activity in the past 12 months must be satisfactorily explained by the borrower. Excessive NSF or overdraft activity may preclude the borrower from bank statement eligibility.
- If bank statements provided reflect payments being made on obligations not listed on the credit report, see [6.17 Undisclosed Debts](#) for additional guidance.
- W-2 Wages: Additional income deposited into the bank statements but derived from a source other than the self-employed business may not be included in the bank statement average. W-2 earnings must be documented as per the requirements in [8.1.1 Wage-Earners](#) along with a processed 4506-C verifying the W-2 earnings only.
- Rental Income: Rental income received as a secondary income source may be used when:
 - Bank statements reflecting regular deposits of the rental income for the most recent 3 months are provided (must be from an account not used for income qualification)
 - Rental income calculated at 75% of the current lease minus the full PITIA

8.3.2 DOCUMENTATION

The following documentation is required to utilize business bank statements for income:

- 12 months complete business bank statements from the same account (transaction history printouts are not acceptable)
- Required Expense Statement documentation applicable to Calculation Option chosen (see [8.3.4 Calculating Qualifying Income](#) for requirements)
- Verification borrower is minimum 25% owner of the business:
 - Ownership percentage must be documented via CPA letter, Operating Agreement, or equivalent.
 - Qualifying Income must be multiplied by the ownership percentage to determine the owner's portion of income allowed for the transaction.
- Cliffco Mortgage Bankers Self-Employed Business Narrative Form (or equivalent)
- Verification borrower has owned and business has been in existence for 2 years
- Verification of business existence required within 10 business days of closing

8.3.3 ANALYZING THE BUSINESS BANK STATEMENTS

The following requirements apply when analyzing the business bank statements:

- Business bank accounts, personal bank accounts addressed to a DBA, or personal accounts with evidence of business expenses can be used for qualification.
- Large and/or unusual deposits, wire transfers, and transfers from other accounts may require additional documentation including letter of explanation, third party documentation, etc., or may be removed from consideration.
- Statements should show a trend of ending balances that are stable or increasing over time.
- Decreasing or negative ending balances must be explained.
- Expense line items that can be added back to the net business income include depreciation, depletion, amortization, casualty losses, and other losses that are not consistent and recurring.
- Cliffco Mortgage Bankers reserves the right to require additional information, including but not limited to, 3rd Party Expense Ratio or Profit & Loss Statements, regardless of business type.

8.3.4 CALCULATING QUALIFYING INCOME

To calculate qualifying income using Business Bank Statement Documentation, choose one of the documentation options below applicable to the Expense Statement method chosen:

8.3.4.1 OPTION 1: THIRD-PARTY PREPARED P&L STATEMENT

The P&L Statement must be prepared, signed, and dated by a third-party Tax Professional (defined as a CPA, Tax Attorney, Enrolled Agent (EA), or Paid Tax Professional (PTIN)). The P&L must be provided on the Tax Professional's letterhead addressed to the borrower and must not contain any exculpatory language that may compromise the integrity of the information provided. Reverse verification and validation of the statement must be completed by Cliffco Mortgage Bankers operations personnel.

Required P&L Statement Documentation:

- P&L Statement covering either the same 1-year period as the bank statements or most recent complete calendar year and
- YTD P&L if the P&L is greater than 120 days old at time of closing.

The monthly gross revenue from the P&L must be supported by the business bank statements provided. Total monthly average deposits per bank statements (minus any disallowed deposits) must be within 20% of monthly gross revenue reflected on P&L. Note: The total eligible deposits calculated with business bank statements is used solely to validate self-employed earnings reported on the P&L.

The sum of disallowed deposits/transfers excluded from the bank statement total may be subtracted from the P&L gross revenue. Total eligible deposits may then be compared to the revised gross revenue amount for validation purposes. If validated within 20%, the revised monthly net income average from the P&L may be used for qualifying income.

$$\text{Net Income} = \frac{\text{Net Income from P\&L} * \text{Borrower Ownership Percentage}}{12 \text{ months}}$$

8.3.4.2 OPTION 2: THIRD-PARTY PREPARED EXPENSE STATEMENT

The Expense Statement must be prepared, signed, and dated by a third-party Tax Professional (defined as a CPA, Tax Attorney, Enrolled Agent (EA), or Paid Tax Professional (PTIN)), specifying business expenses as a percentage of the gross annual sales/revenue prepared. The statement must be provided on the Tax Professional's letterhead addressed to the borrower and must not contain any exculpatory language that may compromise the integrity of the information provided. Reverse verification and validation of the statement must be completed by operations personnel.

Net income from the Expense Statement is calculated by determining total deposits per bank statements (minus any disallowed deposits) multiplied by 100 minus the expense percentage provided by CPA or tax preparer, multiplied by the borrower's ownership percentage, and divided by 12 months.

$$\text{Net Income} = \frac{\text{Total Eligible Deposits} * \text{Borrower Ownership Percentage} * (1 - \text{Expense Statement Percentage})}{12 \text{ months}}$$

8.3.4.3 OPTION 3: FIXED EXPENSE RATIO OF 50%

Net income is calculated by determining total eligible deposits per bank statements (minus any disallowed deposits) multiplied by 50% after accounting for the borrower's ownership percentage and divided by 12 months.

$$\text{Net Income} = \frac{\text{Total Eligible Deposits} * \text{Borrower Ownership Percentage} * 50\%}{12 \text{ months}}$$

Note: Option 3 cannot be utilized if third-party documentation indicating an expense ratio greater than 50% has been disclosed.

8.4 EQUITY ADVANTAGE DSCR

The following parameters apply to Equity Advantage HELOC DSCR loans:

- Business Purpose Investment Properties only
- Rate/Term and Cash-out transactions
- SFR, PUD, Townhome, Condos, 2-4 Unit Properties
- No reserves required
- Interest-only not allowed

8.4.1 BORROWERS AND CREDIT

Borrowers may be U.S. Citizens, Permanent or Non-Permanent Resident Aliens. See [4 Borrowers](#) for complete requirements.

The qualifying credit score is the highest Representative Credit Score for all borrowers. For DSCR transactions, all borrowers on the loan must meet the minimum tradeline requirements. See [5 Credit Analysis](#) for all other credit requirements.

8.4.2 MINIMUM DSCR

The minimum DSCR required for Equity Advantage DSCR transactions is 1.10.

$$\text{DSCR} = \frac{\text{Gross Income}}{(\text{1st Mortgage PITIA} + \text{Proposed 2nd Mortgage P\&I})}$$

8.4.3 RENTAL INCOME

Existing leases are required for all subject properties. For 2-4 Unit properties, a maximum of 1 vacant unit is allowed.

To calculate rental income, use the lesser of the estimated market rent from FNMA Form 1007, 216, 1025 OR the monthly rent from the existing lease.

- Higher monthly rent amounts may be allowed with evidence of 3 months of receipt.
- Short-term rental income is not permitted.

8.4.4 REQUIRED FORMS

- Business Purpose & Occupancy Affidavit: all Borrowers are required to sign at closing to declare that the property is, or will be, for commercial business or investment purpose only
- 1-4 Family Rider/Assignment of Rents (FNMA Form 3170)

8.5 EMPLOYMENT HISTORY

Employment must be stable with at least a 2-year history in the same job or jobs in the same field. Income from self-employment is considered stable if the borrower has been self-employed for 2 or more years.

8.5.1 FREQUENT JOB CHANGES

Frequent job changes to advance within the same line of work may be considered favorable. Job changes without advancement or in different fields of work should be carefully reviewed to ensure consistent or increasing income levels and the likelihood of continued stable employment.

8.5.2 GAPS IN EMPLOYMENT

If the 1003 or other loan documentation suggests there may be a gap in employment, the gap must be addressed. The borrower should provide a signed, written explanation for any employment gaps that exceed 30 days in the most recent 12-month period, or that exceed 60 days in months 13-24.

Recent graduates and borrowers re-entering the workforce after an extended period are allowed.

8.6 SOURCES OF INCOME

For all income sources, borrowers are qualified based on calculated stable monthly income over the most recent 1- or 2-year period. Income may be obtained from a variety of sources such as salary, bonus, commission, self-employment, etc., and should be reasonably expected to continue for the next 3 years.

See [8.1 Full Documentation](#) for detailed income documentation requirements.

8.6.1 ANNUITY INCOME

Annuity income can be used for qualification when the following requirements are met:

- Letter from issuer of annuity to be obtained stating that it has been set up on periodic withdrawal, amount of withdrawal, duration, and balance
- Account asset balance must support the continuance of the monthly payments for at least 3 years after the close of escrow

For annuity distributions from a 401(k) or pension, see [8.6.20 Pension/Retirement](#).

8.6.2 AUTOMOBILE ALLOWANCE

For an automobile allowance to be considered as acceptable stable income, the borrower must have received payments for at least 2 years. The full amount of the allowance must be added to the borrower's monthly income, and the full amount of the lease or financing expenditure to the borrower's monthly debt obligations.

8.6.3 BONUS AND OVERTIME

Bonus and overtime can be used to qualify if the borrower has received the income for the past 1 year and it is likely to continue. An average of bonus or overtime income should be used when available.

A written Verification of Employment (FNMA Form 1005) should be obtained to provide a breakdown of bonus or overtime earnings. If the employment verification states the income is unlikely to continue, it may not be used in qualifying.

8.6.4 CAPITAL GAINS

When income from capital gains is used to qualify the borrower, tax returns for the most recent 2 years are required to determine if the income is recurring and may be considered in qualifying. If a capital gain appears to be a onetime occurrence, it should not be considered when calculating income available.

For the income to be considered stable and likely to continue, sufficient assets must be documented to show the borrower will continue receiving the capital gains for a minimum of 3 years from note date. If the income is declining and/or there will be no asset base to generate the capital gains, it cannot be used for qualification purposes.

8.6.5 CHILD SUPPORT, ALIMONY OR MAINTENANCE INCOME

In order for child support, alimony, or separate maintenance to be considered stable income, it must continue for at least 3 years from note date as specified by the court order. The following requirements apply:

- A copy of the divorce decree or legal separation agreement must be obtained
- Documentation must be received to evidence receipt of the most recent 6 months of payments through copies of deposit slips, canceled checks, and/or bank statements
- Full and timely payments must have been received for 6 months or longer. Income received for less than 6 months is considered unstable and may not be used to qualify the borrower. Also, if full or partial payments are made on an inconsistent or sporadic basis, the income is not acceptable for qualifying the borrower.

Note: As required under the federal Equal Credit Opportunity Act, child support, alimony, or maintenance income information need not be provided unless the borrower wants the lender to consider such income in underwriting the loan.

8.6.6 COMMISSION INCOME

Commission earnings should be averaged over the most recent 1 year and require the following documentation:

- Most recent year-to-date pay stub reflecting the commission earnings; and
- W-2 forms covering the most recent year period or a complete written Verification of Employment

If there are large fluctuations, the borrower must provide a signed, written explanation to support the increase or decrease in income. Additional supporting documentation is required to use commission income for qualification when documentation shows a decline in earnings from one year to the next.

With borrowers that receive a draw against the commission earnings, the draw income is not to be considered in addition to the commission income. Draws are only to be considered income paid in advance of receiving commissions, where the amount is then subtracted once the commissions are earned.

8.6.7 DECLINING INCOME

Declining income sources should be closely reviewed to determine if the income may be used for qualifying purposes. Income showing a consistent decline equal to or greater than 25% over the prior years should not be considered as stable or usable income for qualification purposes.

A signed, written explanation for the decline should be obtained from the borrower and/or employer. In instances where there is sufficient information to support the use of the income, the most recent lower income over the prior 2-year period must be used and may not be averaged.

8.6.8 DISABILITY INCOME

Long-term disability and temporary leave income can be used for qualification. In documenting all disability income, Cliffco Mortgage Bankers must not make inappropriate and/or unlawful inquiries regarding the nature or severity of the borrower's disability.

8.6.8.1 LONG-TERM DISABILITY INCOME

Obtain a copy of the borrower's disability policy or benefits statement from the benefits payer (insurance company, employer, or other qualified disinterested party) to determine:

- the borrower's current eligibility for the disability benefits,
- the amount and frequency of the disability payments, and
- if there is a contractually established termination or modification date.

If a borrower is currently receiving short-term disability payments that will decrease within the next 3 years because they are being converted to long-term benefits, the amount of the long-term benefits must be used as income to qualify the borrower.

8.6.8.2 TEMPORARY LEAVE INCOME

Temporary leave income requires the following documentation:

- Signed letter from borrower stating intent to return to work,

- Evidence of the return-to-work date from employer,
- Amount and duration of the temporary leave income, and
- Amount of regular employment income borrower received prior to the temporary leave.

If the borrower will return to work as of the first loan payment date, the borrower's regular employment income can be used in qualifying. If the borrower will not return to work as of the first loan payment date, the lesser of the borrower's temporary leave income or regular employment income will be used.

8.6.9 DIVIDEND/INTEREST INCOME

Dividend and interest income derived from investments can be used as qualifying income when the following requirements are met:

- 2 most recent years federal income tax returns received supporting a 2-year history of receipt; and
- Verification of stock asset values no older than 30 days at closing.

Sufficient assets should remain after closing to continue to generate an acceptable level of earnings. Earnings should generally be averaged over the time period verified when current earnings are consistent with historical dividend and interest earnings.

8.6.10 EMPLOYMENT BY A RELATIVE

Income for borrowers who are employed by a relative must be verified with all of the following:

- Federal income tax returns for the most recent 2 years;
- W-2s for the most recent 2 years; and
- Pay stub(s) covering the most recent 30-day period.

Income should be averaged over the 2-year period. Clarification of potential ownership by the borrowers of family-owned businesses may also be required. A borrower may be an officer of a family operated business but not an owner. Verification of their status should be provided by written confirmation obtained from a CPA or legal counsel.

8.6.11 EMPLOYMENT OFFERS AND CONTRACTS

If the borrower is scheduled to begin employment under the terms of an employment offer or contract, an executed copy of the borrower's offer or contract for future employment and anticipated income must be obtained. A paystub that includes sufficient information to support the income used to qualify the borrower based on the offer or contract must be provided prior to closing.

8.6.12 FOREIGN INCOME

Foreign income is income earned by a borrower who is employed by a foreign corporation or a foreign government and is paid in foreign currency. Borrowers may use foreign income to qualify if the following requirements are met:

- Two years U.S. federal income tax returns reflecting the foreign income
- Income is translated to U.S. dollars
- Standard income stability and continuance requirements are met
- Standard documentation requirements apply based on the type of income
- Income from sanctioned countries administered by OFAC is not allowed

8.6.13 FOSTER CARE INCOME

Income derived from foster care payments may be considered if there is a 2-year history of receipt and it is expected to continue for the next 3 years.

The income can be verified by letters from the organizations and copies of borrower's deposit slips or bank statements showing regular deposit of the payments, or by providing federal income tax returns for the most recent 2 years. The documentation received must clearly show the number of foster children involved, their ages, and length of care.

Income must be averaged over the 2-year period and may not be considered for children who will reach the age of 19 within 3 years.

8.6.14 HOURLY WAGES

Borrowers paid on an hourly basis, or who may not work a regular 40-hour work week throughout the year, will generally have their income averaged over the minimum employment history required. If there is an indication of declining income, the current income is used instead of the average.

8.6.15 LUMP-SUM DISTRIBUTIONS

Proceeds from the sale of investments held in a 401(k) or IRA account are not eligible as an income source. See [8.6.9 Dividend/Interest Income](#) for related allowable income sources.

8.6.16 MINISTER/CLERGY INCOME

Ministers are individuals duly ordained, commissioned or licensed by a church or church denomination. Ministers and members of the clergy are generally considered self-employed unless exempted by IRS from self-employment taxes. If exempt, an exception from the IRS must be provided.

Rental or housing allowance received can be considered income for qualifying the borrower. Written documentation, such as a WVOE provided by the church, must be obtained showing receipt of the income. The borrower's pay stub should also reflect receipt of the housing allowance. If the borrower is newly employed, obtain a copy of the church budget (in lieu of a check) showing funds have been allocated for housing allowance. Housing allowance for ministers is non-taxable income and can be grossed up for qualifying.

The church may budget for educational, medical insurance, life insurance, retirement, etc. to be paid on behalf of borrower; however, these items will not be considered as qualifying income, unless exempted by the IRS. The housing allowance, although not subject to federal income taxes, is subject to self-employment taxes. Gross income on Schedule SE of the borrower's 1040 should include housing allowance paid.

8.6.17 NON-TAXABLE INCOME

Non-taxable income can be grossed up by 25%. Examples of non-taxable income may include military allowances for clothing, quarters, and subsistence, child support, worker's compensation, disability retirement, social security income, clergy housing allowance, foster care income, food stamps, income from municipal bonds, and certain types of insurance benefits.

Some income types may contain both taxable and non-taxable income. Federal income tax returns may be required to accurately determine the non-taxable portion.

8.6.18 NOTES RECEIVABLE INCOME

Income from notes receivables can be used to qualify provided the income is regular and recurring. The borrower should have a documented history of receiving the income for at least 2 years and can verify that the income will continue for at least 3 years from note on the new mortgage.

A copy of the note confirming the amount, frequency and duration of payments is required along with tax returns for the most recent 2-year period (including Schedule B) and bank statements showing consistent deposits of funds. Income from a recently executed note/contract (less than 12 months) may not be used as qualifying income.

Evidence of receipt for the last 12 months must be verified with either canceled checks, bank deposit slips, or federal income tax returns. A copy of the note verifying payment amount and remaining term of at least 3 years must also be obtained.

8.6.19 PART-TIME/SECOND JOB INCOME

Income from part-time employment or a second job can be considered stable income if it has been received for the previous 2 years and is likely to continue. Earnings must be documented with current pay stubs and W-2s for the most recent 2-year period.

8.6.20 PENSION/RETIREMENT

Pension and retirement income must be verified with any of the following:

- Letters from the organization providing the income
- Copy of retirement award letters
- Tax returns for the most recent 2 years
- W-2 forms or 1099 forms for the most recent 2 years
- Bank statements reflecting regular deposits for the most recent 2 months

8.6.20.1 PROOF OF CONTINUANCE

If the borrower is of retirement age, proof of continuance does not have to be documented when the income is received from corporate, government or military retirement/pension.

If retirement income is in the form of monthly annuity distributions, such as 401(k) or IRA, proof of continuance for 3 years is required.

8.6.20.2 FORTHCOMING RETIREMENT

Any borrower presently employed but anticipating retirement within 3 years from note date must be evaluated upon the verified anticipated retirement income. Effective income for borrowers planning to retire (or end employment for other reasons) during the period must include the amount of documented retirement or other benefits to be received, Social Security payments, or other payments expected to be received in retirement. A combination of present earnings and future retirement income does not represent a supportable level of earnings.

8.6.21 PUBLIC ASSISTANCE

Income from government assistance programs, such as food stamps, Aid to Dependent Children, or welfare, can be used as qualifying income provided such income has a reasonable likelihood of continuing for at least 3 years.

The applicant must provide a copy of a benefits awards letter as evidence of eligibility. This documentation must verify the amount of assistance, duration of payment and what portion, if any, is non-taxable. Verification of receipt of benefits for the previous 2 years can be documented with copies of checks, copies of bank statements, copies of award letter or copies of grant statements.

In documenting and evaluating public assistance income, Cliffco Mortgage Bankers must comply fully with the requirements of the federal Equal Credit Opportunity Act and applicable state anti-discrimination laws.

8.6.22 RENTAL INCOME

Rental income can be used for qualifying when disclosed on the loan application. Gross market rent must be

documented with FNMA Form 1007 or Form 1025, as applicable, when rental income from the subject property is being used to qualify.

Note: The rental payment on the lease must be reflected in U.S. dollars (cannot be in virtual currency).

8.6.22.1 INCOME OR LOSS

The treatment of the monthly qualifying rental income or loss in the total debt-to-income ratio varies based on occupancy of the property.

If the property is a primary residence, the following applies:

- The monthly qualifying rental income must be added to the borrower's total monthly income (income is not netted against the PITIA); and
- The full PITIA must be included in the borrower's total monthly obligations when calculating the DTI.

If the rental income or loss relates to a property other than the borrower's primary residence, the following calculations apply:

- If the monthly qualifying rental income minus the full PITIA is positive, it must be added to the borrower's total monthly income
- If the monthly qualifying rental income minus PITIA is negative, the monthly net rental loss must be added to the borrower's total monthly obligations
- The full PITIA for the rental property is factored into the amount of the net rental income or loss; therefore, it should not be counted as a monthly obligation

8.6.22.2 RENTAL INCOME FROM THE SUBJECT PROPERTY

Rental income from the subject property owned prior to loan application should be calculated using the borrower's most recent federal income tax return (Cash Flow Analysis of Schedule E). Net rental losses should be included in ratios as a liability.

Rental income should be calculated using the lesser of:

- 75% of the current lease minus the full PITIA; or
- Cash flow analysis of the Schedule E from the borrower's most recent federal income tax return (if applicable).

8.6.22.3 RENTAL INCOME FROM OTHER REAL ESTATE OWNED

Rental income from another property owned prior to loan application should be calculated using the borrower's most recent federal tax return (Cash Flow Analysis of Schedule E). Net rental losses should be included in ratios as a liability.

Rental income should be calculated using the lesser of:

- 75% of the current lease minus the full PITIA; or

- Cash flow analysis of the Schedule E from the borrower's most recent federal income tax return (if applicable).

8.6.22.4 CASH FLOW ANALYSIS OF SCHEDULE E

Cash Flow Analysis of Schedule E should be completed as follows:

Gross Rents and Royalties Received

- Total Expenses

+ Depreciation

+ Insurance

+ Mortgage Interest

+ Taxes

+ HOA fees (if included on Schedule E)

Subtotal

Subtotal / 12 = Monthly Total

Monthly Total

- Proposed or Existing Monthly PITIA

MONTHLY NET RENTAL INCOME/LOSS

8.6.23 RESTRICTED STOCK UNIT INCOME

Restricted stock units and restricted stock (referred to collectively as "restricted stock") are granted by an employer to its employees as a form of compensation based on either performance or time. They can be awarded as either stock or an equivalent cash value of the number of shares awarded and usually vest over a certain number of years. After they vest, the employee may sell the shares at the current price or hold the stock for future sale.

To be used as qualifying income:

- The restricted stock income is calculated using a 2-year average.
- The restricted stock must have vested and been distributed to the borrower without restrictions.
- If the restricted stock income is declining, proof of stability must be provided, and the most conservative average used for qualifying.

Note: Sign-on bonuses received in the form of restricted stock that vest over any length of time cannot be considered by the lender as qualifying income.

The following documentation is required:

- Evidence stock is publicly traded;

- Current vesting schedule reflecting past and future vesting;
- Brokerage or bank statement showing receipt of previous years' distribution of restricted stock and, at a minimum, the number of vested shares or cash equivalent;
- A completed Verification of Employment (FNMA Form 1005) that shows restricted stock distributions, or the borrower's recent paystub showing receipt of restricted stock income; and
- Borrower's IRS W-2 forms covering the most recent 2-year period.

The calculation method for restricted stock income will vary depending on whether payment is made in shares or cash.

$$\text{Income Paid in Shares} = \frac{\text{200-Day Moving Average of share price} * \text{Total number of distributed vested shares (pre-tax) in most recent 24 months}}{24 \text{ months}}$$

$$\text{Income Paid in Cash} = \frac{\text{Total cash distributed (pre-tax) equal to the total value of vested shares in the most recent 24 months}}{24 \text{ months}}$$

8.6.24 SEASONAL INCOME

Income from seasonal employment can be considered if the applicant has worked the same job during the season for the past 2 years and expects to be rehired for the next season.

A written Verification of Employment and W-2s for the most recent 2 years are required. The WVOE must reference the likelihood of the borrower's rehire. Seasonal income should be averaged over a 2-year period.

8.6.25 SELF-EMPLOYED INCOME

A borrower is considered self-employed with 25% or more ownership interest in a business. The business may be a sole proprietorship, general partnership, limited partnership, corporation, or S corporation.

To utilize self-employed income for loan qualification, borrowers must be self-employed for at least 2 years and the business must be in existence for at least 2 years. Less than 2 years can be considered with documentation of a minimum of 2 years employment history in the same line of work or related profession. Less than 1 year may not be considered.

A Cliffco Mortgage Bankers Self-Employed Business Narrative Form (or equivalent) is also required for all self-employed borrowers when using alternative income documentation.

8.6.25.1 SOLE PROPRIETORSHIP

A sole proprietorship is a business structure in which an individual and his or her company are considered a single entity for tax and liability purposes. Income and losses are reported on the owner's Schedule C of the individual federal income tax return.

Documents required for determining income from a sole proprietorship are:

- Federal income tax return (IRS Form 1040) for the most recent complete year, including all schedules; and
- Year-to-date profit and loss statement (if the loan application is > 120 days after the year-end reflected on the most recent business tax return provided); and
- Signed and processed IRS Form 4506-C (full 1040 transcripts capturing all schedules); and
- Verification of the existence of the business within 10 business days of closing.

8.6.25.2 PARTNERSHIPS

A partnership is a business organization in which 2 or more individuals manage and operate the business. The partners share profits and losses and control of the business.

Documents required for determining partnership income are:

- Federal income tax return (IRS Form 1040) for the most recent complete year, including all schedules; and
- W-2s for the most recent complete year (if applicable); and
- Partnership tax return (IRS Form 1065) for the most recent complete year, including all schedules and K-1s (Note: If borrower is a limited partner with less than 50% ownership, partnership tax return is not required); and
- Year-to-date profit and loss statement (if the loan application is > 120 days after the year-end reflected on the most recent business tax return provided); and
- Signed and processed IRS Form 4506-C (full 1040 transcripts capturing all schedules); and
- Verification of the existence of the business within 10 business days of closing.

8.6.25.3 CORPORATIONS

A corporation is a legal entity that is separate and distinct from its owners. If a borrower has more than 25% ownership in a corporation, they are considered to be self-employed. A borrower that is self-employed as a corporate officer will receive a pay stub and W-2 and will report income on his or her personal tax return. Corporate income or losses are reported on the corporate tax return (IRS Form 1120).

Documents required for determining income from a corporation:

- Federal income tax return (IRS Form 1040) for the most recent complete year, including all schedules; and
- W-2s for the most recent year; and
- Corporate tax return (IRS Form 1120) for the most recent complete year, including all schedules; and
- Year-to-date profit and loss statement (if the loan application is > 120 days after the year-end reflected on the most recent business tax return provided); and
- Signed and processed IRS form 4506-C (full 1040 transcripts capturing all schedules); and
- Verification of the existence of the business within 10 business days of closing.

8.6.25.4 S CORPORATIONS

A Subchapter S corporation is a type of corporation which enables the company to have the benefits of a corporation but be taxed as if it were a partnership. S corporations are generally small corporations. The profit of the corporation is given to each owner according to his or her share of ownership. The adjusted profit is then divided by the borrower's share of ownership and combined with W-2 income used for qualifying. Income is reported with both a W-2 and K-1 (reporting on the Schedule E) or only with a K-1.

Documents required for determining income from an S corporation:

- Federal income tax return (IRS Form 1040) for the most recent complete year, including all schedules; and
- W-2s for the most recent year; and
- Corporate tax return (IRS Form 1120-S) for the most recent complete year, including all schedules and K-1s; and
- Year-to-date profit and loss statement if the loan application is dated more than 120 days after the end of the business's tax year; and
- Signed and processed IRS Form 4506-C (full 1040 transcripts capturing all schedules); and
- Verification of the existence of the business within 10 business days of closing.

8.6.25.5 CLIFFCO MORTGAGE BANKERSSELF-EMPLOYED BUSINESS NARRATIVE FORM

Self-employed borrowers using alternative income documentation must complete the Cliffco Mortgage Bankers Self-Employed Business Narrative Form (or equivalent) providing a description of the business, ownership percentages, and any additional details related to transactions within the bank statements. Self-employed borrowers using full income documentation are not required to provide a business narrative.

An internet search of the business is required with documentation to be included in the credit file to support the business narrative. Underwriter Certification (or notation on the 1008) is required if there are no returns when attempting an internet search.

8.6.25.6 REDUCED DOCUMENTATION FOR A SECONDARY BUSINESS

Business tax returns, associated schedules, and profit and loss statements may be waived when all of the following requirements are met:

- Income/loss referenced on personal tax return is generated from a secondary business that is not the borrower's primary income source; and
- Income/loss from each separate business is $\leq 10\%$ of qualifying income for the transaction; and
- All losses are subtracted from the borrower's qualifying income.

If income from a business is used to qualify the borrower, or if business expenses are added back to income or a loss, then business tax returns, associated schedules, and profit and loss statements must

be obtained. Discretion may be used whether or not to obtain all documentation for self-employed earnings when the secondary business may have a significant impact on the loan.

8.6.25.7 CASH FLOW ANALYSIS

Cliffco Mortgage Bankers will prepare a written evaluation of the analysis of a self-employed borrower's personal income, including the business income or loss, reported on the borrower's federal income tax returns, which will be included in the loan file.

8.6.26 SOCIAL SECURITY INCOME

When a borrower is drawing Social Security benefits from their own account/work record in the form of Retirement or Disability, one of the following items is required:

- Social Security Administrator's (SSA) Award letter, or
- Proof of current receipt

When a borrower is drawing benefits from their own account/work record in the form of Supplemental Security Income (SSI), both the award letter AND proof of current receipt must be obtained.

When a borrower is drawing Social Security benefits from another person's account/work record, all of the following items are required:

- SSA Award letter
- Proof of current receipt; and
- Proof benefit will continue for at least 3 years (e.g., verification of beneficiary's age)

See also [8.6.17 Non-Taxable Income](#).

8.6.27 TEACHER INCOME

Teachers are paid on a 9-month, 10-month or 12-month basis. The pay structure should be determined before calculating the monthly income. If uncertainty exists, the borrower may provide a copy of their contract or the school district's personnel office may provide verbal confirmation.

8.6.28 TIPS AND GRATUITIES

Tips and gratuity income can be considered if receipt of such income is typical for borrower's occupation (i.e., waitperson, taxi driver, etc.). Income should be received for at least 2 years and documented through the most recent year-to-date pay stubs and federal income tax returns for the most recent 2 years. Income should be averaged over the time period verified. If the tip income is not reported on the pay stubs or tax returns, then it may not be included in qualifying income.

8.6.29 TRUST INCOME

Trust income can be used for qualification when all of the following requirements are met:

- Copy of the trust agreement or the trustee's statement must be obtained to confirm the amount, frequency, and duration of payments;
- Trust income to continue for at least 3 years from date of the mortgage application; and
- History of receiving the trust income must be documented for 1 month.

8.6.30 UNEMPLOYMENT COMPENSATION

Income derived from unemployment compensation is generally not allowed due to the limited duration of its receipt. Seasonal unemployment, however, can be considered if the borrower is employed in a field where weather affects the ability to work and where unemployment compensation is often received (i.e., construction). The income can be used to qualify with a 2-year employment history in the same field of work and a 2-year history of receipt of unemployment compensation. Income should be averaged over the time period verified.

8.6.31 VA SURVIVORS' BENEFITS/DEPENDENT CARE

VA benefits must be documented with a copy of the award letter or distribution forms and must continue for at least 3 years.

8.6.32 VIRTUAL CURRENCY

Any income paid to or earned by the borrower in the form of virtual currency, such as cryptocurrencies, is not eligible to be used to qualify for the loan.

8.6.33 UNACCEPTABLE INCOME

- Gambling winnings (except lottery continuing for 5 years)
- Educational benefits
- Stock options
- Refunds of federal, state, or local taxes
- Illegal income
- Expense account reimbursement
- Proceeds of SBA/PPP loans or any other government assistance
- Boarder income

9 RATIOS AND QUALIFYING

9.1 RATIOS

The maximum DTI allowed for Equity Advantage HELOC are as follows:

- Loan amounts $\leq$ \$500,000 - 50%
- Loan amounts $>$ \$500,000 - 43%

9.2 QUALIFYING PAYMENT

The HELOC payment used for qualification is the fully amortized payment based on start rate + 2% on the total credit limit.

9.3 QUALIFYING PAYMENT FOR SENIOR LIENS

For subject property senior liens that are determined to be ARM loans, the greater of the note rate or the fully indexed rate is used to determine the qualifying PITIA. ARM loans with less than 3 years fixed period remaining can qualify on the fully indexed payment.

For subject property senior liens that are determined to be interest-only loans, qualify interest-only loans on fully amortized payment on the remaining term after the interest-only period. Interest-only senior liens are acceptable when qualified at a maximum DTI of 45%.

9.4 LOAN PRODUCTS

PRODUCT DETAILS	
PRODUCT	• Variable rate (index + margin) • Standalone only, no concurrent loans • 3- or 5-year interest-only draw period • 20- or 30-year amortization term
INDEX	• WSJ prime rate, as published on 1st business day of month. • The interest rate may change monthly.
INITIAL MINIMUM DRAW	• Minimum 80% of the total line amount. • Subject to minimum \$50k initial draw at time of purchase.
ADDITIONAL DRAWS	• No additional draws during 90-day period post-closing. • Subsequent draws are subject to \$5,000 minimum.
QUALIFYING PAYMENT	• Fully amortized payment based on start rate + 2% on total credit limit.

10 ASSET ANALYSIS

No cash to close and/or reserves are required for the Cliffco Mortgage BankersEquity Advantage HELOC program.

11 PROPERTY

11.1 GENERAL PROPERTY REQUIREMENTS

An acceptable appraisal product is required on all loan transactions to assess the adequacy of the property as collateral for the mortgage requested.

Cliffco Mortgage Bankerswill review and assess the following:

- Ordering and receiving the appraisal product for each mortgage transaction.
- The accuracy and completeness of the appraisal product and its assessment of the marketability of the property.
- Underwriting the completed appraisal product to determine whether the subject property presents adequate collateral for the mortgage.
- Continually evaluating the quality of the appraiser's work, when applicable, through normal underwriting review of all appraisal reports and spot-check field review of appraisals as part of its quality control program.
- Ensuring that the appraiser uses sound reasoning and provides evidence to support the methodology used for developing the value opinion.
- Ensuring that the appraiser provides an accurate opinion, an adequately supported value, and an accurate description of the property.
- Ensuring that the appraiser provides his or her license or certification on the appraisal report.
- Complying with the Appraiser Independence Requirements published by Fannie Mae/Freddie Mac and the requirements of the Federal Truth in Lending Act and Regulation Z with respect to valuation independence.
- Ensuring the appraiser does not use unsupported assumptions or use race, color, religion, sex, handicap, familial status, national origin for any party in the transaction, or impermissible demographics of the community in which the property is located, as the basis for market value.
- Disclosing to the appraiser any information about the subject property of which it is aware of that could impact the marketability of the property.

11.2 UNIFORM RESIDENTIAL APPRAISAL REPORT (URAR)

Appraisers are required to use current appraisal report forms that are acceptable to Fannie Mae and/or Freddie Mac. The following appraisal report forms should be used when applicable:

- Uniform Residential Appraisal Form (FNMA Form 1004)
- Individual Condominium Unit Appraisal Report (FNMA Form 1073)
- Small Residential Income Property Appraisal Report (FNMA Form 1025)
- Appraisal Update and/or Completion Report (FNMA Form 1004D)
- Single Family Comparable Rent Schedule for all 1-unit investment properties (FNMA Form 1007)
- 1-4 Family Rider (Assignment of Rents) for all investment properties (FNMA Form 3170)

11.2.1 APPRAISAL REPORT REQUIREMENTS

The following items must be contained in the appraisal report, when applicable:

- Street map showing the location of the subject property and all comparables used.
- Exterior building sketch of the improvements indicating dimensions. A floor plan sketch is required along with calculations demonstrating how the estimate for gross living area is determined. For a unit in a condo project, the sketch of the unit must indicate interior perimeter unit dimensions rather than exterior building dimensions.
- Original color photographs or digital color images of the front, street, and rear views of the subject property. Original digital black and white photographs/pictures are permitted if the appraisal clearly indicates the subject property meets our standards.
- Interior photos of the subject are required to include the kitchen, all bathrooms, the main living area, any areas with physical deterioration, and any renovations/ improvements.
- Any other data as an attachment or addendum to the appraisal report form necessary to provide an adequately supported estimate of market value.
- Appraisal report must contain analysis of all agreements of sale, options, or listings for the subject property current as of the effective date of the appraisal, and analysis of all sales of the subject property that occurred within the 3 years prior to the effective date of the appraisal.
- Appraisal report must include a completed Sales Comparison Approach section of FNMA Form 1004 where there are comparables used with more than one sale or transfer in the 12 months prior to the effective date of the appraisal.
- Appraiser comments on any unfavorable conditions, such as adverse environmental or economic factors, and how those conditions impact the market value of the property. In those cases, the appraiser's analysis must reflect and include comparable sales that are similarly affected.
- Certification and statement assumptions and limiting conditions signed by the appraiser.

11.2.2 APPRAISER QUALIFICATIONS

Real estate appraisers are to be state-certified or state-licensed in accordance with the provisions of Title XI of the Financial Institutions Reform, Recovery and Enforcement Act of 1989. They must have the requisite knowledge required to perform a professional quality appraisal for the specific geographic location and property type as well as have access to the necessary and appropriate data sources for the appropriate area of the appraisal assignment.

Cliffco Mortgage Bankers utilizes Appraisal Management Companies (AMCs) to ensure the appraisers selected have the appropriate knowledge, experience, access to the appropriate data sources, geographic competence, and the ability to generate a quality appraisal report.

An unlicensed or uncertified appraiser who works as an employee or subcontractor of a licensed appraiser may perform a significant amount of the appraisal as long as the appraisal report is signed by a licensed or certified appraiser and is acceptable under state law. A supervisory appraiser or any appraiser signing on the left-hand side of the appraisal report as the “Appraiser” must have performed the level of inspection of the subject property required by the assignment.

11.2.3 ELECTRONIC SUBMISSION OF APPRAISAL REPORT

Appraisal reports which have been transmitted electronically using internet, wireless transmissions, or other types of electronic transmissions are acceptable, provided the following are met:

- The appraisal report accurately identifies the appraiser and is signed by the appraiser. Digitized signatures are acceptable.
- The appraisal report was created by the appraiser whose name appears on the appraisal report and that the appraisal is complete, unaltered, and submitted by the identified appraiser.

11.2.4 TRANSFERRED APPRAISALS

Transferred appraisals are not allowed.

11.2.5 AGE OF APPRAISAL AND APPRAISAL UPDATES

Appraisals are valid for 120 days and are not eligible for appraisal updates.

11.3 MINIMUM PROPERTY STANDARDS

All properties must:

- Be improved real property
- Be designed and available for year-round residential use
- Contain a kitchen and a bathroom
- Contain a minimum of 600 square feet of gross living area
- Be heated by a continuously fueled heat source which is permanently affixed to the real estate. Alternative heat sources are acceptable when marketability has been demonstrated.
- Average or better than average condition
- Represent the “highest and best” use of the subject
- Be free of all health and safety violations
- NOT be in violation of any housing codes or exhibit items that adversely affect the ownership, habitability, or marketability of the subject property

11.4 PROPERTY LOCATION

See Cliffco Mortgage BankersEquity Advantage HELOC Matrix. Subject property must be subject to the laws of the state in which the loan is made.

11.5 ELIGIBLE PROPERTY TYPES

PROPERTY ELIGIBILITY	
PROPERTY TYPE	ELIGIBLE
Single-Family Residence	Yes
Planned Unit Development (PUD)	Yes
Townhomes	Yes
2-4 Unit Multi-Family Properties	Yes
Site Condominium	Yes
Condominium (low-rise and high-rise)	Yes
Non-Warrantable Condominiums	Yes
Age Restricted Communities	No
Agricultural or Commercial Zoned	No
Assisted Living/Continuing Care Facilities	No
Boarding Houses	No
Condotels or Condo Hotels	No
Co-operative Units	No
Farms or Hobby Farms	No
Land Contracts/Contract for Deed	No
Fractional Ownership Projects	No
Land Trusts	No
Leasehold Property	No
Log Homes	No
Manufactured Homes	No
Mixed-Use Properties	No
Modular Homes	No
Properties Subject to Rent Control Regulations	No
Row Homes	No
Timeshare or segmented ownership projects	No
Unimproved land	No
Unique Properties (Earth Homes, Berm Homes, Dome Homes, Barndominiums, Shouses, Geodomes, etc.)	No

11.6 MARKET ANALYSIS

11.6.1 NEIGHBORHOOD REVIEW

The neighborhood section should contain an accurate description of the subject's neighborhood and any factors about the neighborhood that may influence value. Specific neighborhood characteristics include the following:

- Degree of development
- Demand and supply
- Present land use
- Owner-occupancy
- Price range and predominant value
- Age of subject property
- Appeal to market and marketing time

11.6.2 COMPATIBILITY OF SUBJECT PROPERTY AND NEIGHBORHOOD

The age and price of the subject property should generally be within the age and price ranges of properties in the subject neighborhood as reported on the URAR. Neighborhood factors indicating compatibility of the subject, such as present land use, predominant occupancy, and anticipated change in present land use are considered.

11.6.3 PROXIMITY OF COMPARABLES TO SUBJECT PROPERTY

Whenever possible, comparable sales in the same neighborhood as the subject property should be used. Sales prices of comparable properties in the neighborhood should reflect the same positive and negative location characteristics.

For properties in established subdivisions, condo projects, or PUDs, comparable sales from within the same subdivision or project as the subject property must be used if the subdivision or project has resale activity. Use of comparable properties located outside of the established subject neighborhood must be explained in the appraisal analysis.

For properties in new subdivisions, condo projects, or PUDs, the subject property must be compared to other properties in its general market area as well as to properties within the subject subdivision or project. The appraiser must select one comparable sale from the subject subdivision or project and one comparable sale from outside the subject subdivision or project. The third comparable sale can be from inside or outside of the subject subdivision or project, provided it is a good indicator of value for the subject property.

11.6.4 AGE OF COMPARABLES

Generally, appraisals should contain comparables sales dated within 6 months from the report date. Comparables from 6 to 12 months are permitted on a limited basis with an explanation from the appraiser. Older comparable sales that are the best indicator of value for the subject property may be used if appropriate. Value must be supported and market acceptance demonstrated when older comparables are utilized.

11.6.5 PROPERTY VALUES WITHIN MARKET AREA

The value of subject property should be in line with the home prices in the subject's market area. The appraiser must report the primary indicators of market condition for properties in the subject neighborhood as of the effective date of the appraisal by noting the following:

- the trend of property values
- the supply of properties in the subject neighborhood
- marketing time for properties

The appraiser must provide their conclusions for the reasons a market is experiencing declining property values, an over-supply of properties, or marketing times over 6 months. If the appraisal indicates the property is located within a declining market, a 5% LTV reduction is required.

11.6.6 REDLINING PROHIBITION

Prohibited bases such as race, ethnicity, gender, minority geography or any other prohibited basis category should not be included as an appraisal factor or considered when reviewing an appraisal. As a matter of policy, appraisal reports which make reference to a prohibited basis category (e.g., race or minority geography) are not acceptable. The use of code phrases as proxies for race which are not necessarily descriptive of value or risk is unacceptable. The information in the appraisal report must support in an objective manner any statement or conclusion contained in the report.

11.6.7 OVER-IMPROVEMENTS

An over-improvement is an improvement that costs more than its contributory value within the marketplace. The appraiser must comment on over-improvements and indicate their contributory value in the "sales comparison analysis" adjustment grid. Improvements can represent an over-improvement for the neighborhood but still be within the neighborhood price range—such as a property with an in-ground swimming pool, a large addition, or an oversized garage in a market that does not demand these kinds of improvements. Appraisals on properties with over-improvements that may not be acceptable to the typical purchaser must be reviewed to ensure that only the contributory value of the over-improvement is reflected in the appraisal analysis.

11.7 VALUATION ANALYSIS

11.7.1 SALES COMPARISON APPROACH

Each appraisal must contain an estimate of market value. Market value is defined as the most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition are the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

- Buyer and seller of property are typically motivated
- Both parties are well informed or well advised, acting in what they consider their best interest
- A reasonable time is allowed for exposure in the open market
- Payment is made in terms of cash in US dollars or in terms of comparable financial arrangements comparable
- The price represents the normal consideration for the subject property sold unaffected by special financing or sales concessions granted by anyone associated with the sale

A minimum of 3 closed comparables must be reported in the sales comparison approach. Additional comparable sales may be reported to support the opinion of market value provided by the appraiser. The subject property can be used as a fourth comparable sale or as supporting data if it was previously closed. Contract offerings and current listings can be used as supporting data, if appropriate.

Comparable sales utilized in the market approach should:

- Be within one mile of the subject property
- Have been closed within the last 6 months
- Indicate properties that are similar to the subject property with respect to age, size, features, amenities, etc.
- Result in an overall net adjustment not exceeding 15% of the sales price of that comparable and a gross adjustment not exceeding 25% of the sales price of that comparable
- Reflect adjustments for individual line items not exceeding 10%
- Have a sales price that is within the general range of value as the subject
- Have at least 3 of the comparables should be recently closed sales

In instances where comparables conforming to the criteria stated above cannot be used, the appraiser must clearly justify reasons for alternate comparables.

11.7.2 COST APPROACH

When completed, the cost approach must clearly segregate value attributed to land, outbuildings, etc. If the ratio of land value to total value exceeds 35%, an explanation from the appraiser may be required to demonstrate conformance with neighboring properties. Appraisals that rely solely on the cost approach as an indicator of market value are not acceptable.

11.7.3 INCOME APPROACH

When the income approach to value is used, the appraisal report must include the supporting comparable rental and sales data, and the calculations used to determine the gross rent multiplier. Appraisals that rely solely on the income approach as an indicator of market value are not acceptable.

11.7.4 VALUATION ANALYSIS AND FINAL RECONCILIATION

In the final reconciliation, appraisers must reconcile the reasonableness and reliability of each applicable approach to value along with validity of the indicated values. The appraiser must select and report the approaches that were given the most weight. An averaging technique cannot be used.

11.7.5 APPRAISAL REQUIREMENTS

Loan amounts $\leq$ \$400,000 require one of the following:

- AVM from approved provider with acceptable forecast standard deviation (FSD) score and confidence rating (see below); or
- Exterior-Only Inspection Residential Appraisal Report (FNMA Form 2055 or 1075); or
- Full Interior Appraisal (FNMA Form 1004 or 1025); or
- iHomeValuator; or
- Clear Capital Flex Appraisal; or
- iQuant Ext Appraisal Report.

A Full Interior Appraisal is required for:

- Loan amounts $>$ \$400,000
- Higher-Price Mortgage (HPML) loans

Approved AVM providers include Clear Capital, Collateral Analytics, CoreLogic, HouseCanary, Homegenius, Quantarium, and Veros.

- Acceptable confidence rating for Clear Capital is $\geq 87\%$ and FSD score is ≤ 0.13 .
- Acceptable confidence rating from all other providers is $\geq 90\%$ and FSD score is ≤ 0.10 .
- All AVMs must include property condition report or comparable report.

If the AVM does not provide the required FSD score or confidence rating, AVM is considered ineligible and an Exterior-Only or Full Interior Appraisal is required. Cliffco Mortgage Bankers reserves the right to request additional appraisal products at their discretion based on review of the appraisal and loan file.

11.8 PROPERTY CONSIDERATIONS

11.8.1 ACCESSORY DWELLING UNITS

Properties with an accessory unit (ADU) are acceptable if all of the following are met:

- Property is typical, readily acceptable, and common in the subject's market area.
- Property must conform to all zoning laws and/or regulations.
- Appraisal contains 1 comparable with similar additional accessory unit.
- Accessory unit is substantially smaller than the primary dwelling.
- Legal non-conforming use is acceptable provided its current use does not adversely affect value and marketability.
- Existence of the unit must not jeopardize any future hazard insurance claim that may need to be filed for the property.

Rental income received from the ADU may be used for qualifying if zoning permits an accessory unit (current or grandfathered). Use of rental income is allowed, subject to the following:

- Appraisal report reflects the accessory dwelling unit is legal.
- Appraiser to confirm ADU is typical to the area with at least one comparable with an ADU.
- Maximum one ADU per property.
- The market rent for the accessory unit is documented on FNMA Form 1007.
- Copy of the current lease and 2 months proof of current receipt are provided.
- See [8.6.22 Rental Income](#) for additional guidance on rental income calculation.

Note: Rental income from an ADU may not be used on the Equity Advantage Program for qualifying purposes.

11.8.2 DAMPNESS

If the appraisal report notes evidence of dampness, the appraiser must clearly define the effect on value and marketability of the subject property, as well as comment regarding the probable cause of the dampness problem. Generally, a structural engineer's report is required prior to making a loan decision. The cause of the dampness must be corrected prior to closing should the dampness problem indicate a structural deficiency and/or significant negative impact on value or marketability.

11.8.3 DEFERRED MAINTENANCE

Property must be in average or better condition. Properties in C5 or C6 condition are not acceptable. Deferred maintenance is allowed provided the neglected item is not structural in nature (as noted by the appraiser). Deferred items may be left “as is” if the aggregate cost to cure the deficiency does not exceed \$2,000 or impact the safety or habitability of the property.

11.8.4 DISASTER AREAS

Cliffco Mortgage Bankers is responsible for identifying areas impacted by disasters and taking the appropriate steps to ensure the subject property has not been adversely affected. Examples of disasters include, but are not limited to, hurricanes, earthquakes, floods, landslides, tornadoes, wildfires, volcanic eruptions, civil unrest, and terrorist attacks.

Adverse events that receive a formal disaster declaration issued by local, state, or federal departments of emergency management must follow the procedures listed below. A list of all federally declared disaster areas may be found on the FEMA website at <http://www.fema.gov/disasters>.

In addition, when there is knowledge of an adverse event occurring in and around the subject property’s geographic region and a formal declaration has not yet been made, additional due diligence is required to determine whether the disaster area guidelines must be followed.

Damage to the subject property must meet requirements in [11.8.3 Deferred Maintenance](#).

11.8.4.1 PROPERTY APPRAISED PRIOR TO DISASTER INCIDENT

If the appraisal effective date is prior to the disaster incident, the following documentation is required:

- Clear Capital Post Disaster Inspection Report (PDI or equivalent); or
- An exterior inspection completed by licensed third-party professional:
 - Exterior inspection must certify the condition of the subject property and identify any impact to habitability or marketability
 - Inspection report must include photographs of the front, street view, and any damage to subject property
 - Inspection report and evidence of inspector licensing must be retained in loan file

If the appraisal was complete at the time of the disaster but ‘subject to completion’ or ‘subject to repairs,’ an Appraisal Update and/or Completion Report (FNMA Form 1004D) is required in addition to the inspections listed above.

11.8.4.2 PROPERTY APPRAISED AFTER DISASTER INCIDENT

When the appraisal effective date is after the disaster incident, no additional documentation is required.

11.8.4.3 DISASTER INCIDENT OCCURS AFTER CLOSING OR PRIOR TO FUNDING

If the disaster incident occurred after closing, the loan is ineligible for purchase or funding until one of the following is received certifying no damage to the subject property:

- Clear Capital Post Disaster Inspection Report (PDI or equivalent); or
- Appraisal Update and/or Completion Report (FNMA Form 1004D)

11.8.4.4 TIME PERIOD

Guidelines for disaster areas should be followed for 60 days from the incident period ending date or the date the adverse event occurred, whichever is later.

11.8.4.5 VERBAL VERIFICATION OF EMPLOYMENT RE-VERIFICATION

If a disaster event occurs after the Verbal Verification of Employment (VVOE) has been completed, an update must be obtained to ensure the borrower is still employed and that they are continuing to receive the same amount of income.

11.8.5 ELECTRICAL SYSTEMS

An electrical certification from a licensed electrician is required if the appraisal notes a fair or poor rating concerning the adequacy or condition of the system. Any electrical inadequacies must be corrected prior to closing.

11.8.6 ENVIRONMENTAL HAZARDS

The appraisal report should note the existence of known environmental hazards and their effect on value and marketability of the subject property. Environmental hazards may include but are not limited to:

- Evidence of radon above EPA safety levels which is left untreated
- Properties built on or near toxic waste dumps, cleanup sites, etc.
- Presence of urea formaldehyde foam insulation (UFFI)

A property inspection completed by a licensed inspector is required in order to make final determination of the acceptability of the property. The mortgagor's acknowledgment of condition is required.

11.8.7 ESCROWS FOR WORK COMPLETION

Not allowed

11.8.8 FLOOD ZONE

The appraisal should indicate if the property is located in a flood zone. Refer to [12.3 Flood Insurance](#) for additional information on flood certifications and flood insurance.

11.8.9 FOUNDATION SETTLEMENT

If the appraisal report notes evidence of excessive settlement, the appraiser must clearly define the effect on value and marketability of the subject property. Settlement problems which denote structural deficiencies and/or significant negative impact on value and marketability must be corrected prior to closing. Generally, a structural engineer's report is required prior to making a loan decision.

Properties with evidence of sinkhole activity are ineligible for financing.

11.8.10 HEATING SYSTEMS

A central heat source with ductwork or baseboard in all rooms is required on all properties. If subject does not have central heat, the appraiser must provide similar comparable properties and an addendum indicating:

- the heat source is typical for the area
- the heat source is permanently attached
- the heat source is adequate for the dwelling
- the heat source is externally vented

11.8.11 LAND VALUE

Special consideration should be taken for properties with land values that exceed 35% of the total property value to ensure the value is justified and the property has marketability. The appraisal report must provide data which indicates like-size properties with similar land values are typical and common in the subject's market area.

11.8.12 LAVA ZONES

Cliffco Mortgage Bankers allows mortgage loans secured by properties that are located within lava zones 3 through 9 in the state of Hawaii. Properties in lava zones 1 and 2 are not eligible due to the increased risk of property destruction from lava flows within these areas.

Hawaiian lava flow maps and other information are available online at the U.S. Geological Survey Hawaiian Volcano Observatory website: <https://www.usgs.gov/observatories/hvo>

11.8.13 MULTIPLE DWELLINGS ON ONE LOT

Properties with 2 or more detached single-family homes on a single lot are generally ineligible for financing. Single-family properties containing additional residential dwellings (guesthouse, carriage house, etc.) must comply with local zoning regulations. They must be typical and common within the subject's neighborhood. Typically, the additional dwelling is smaller than the main dwelling and will not be rented. The subject property should be appraised as a single-family residence. Any value for additional dwellings should be supported by comparable sales. See also [11.8.1 Accessory Dwelling Units](#).

11.8.14 MULTIPLE PARCELS

When a property consists of more than one parcel of real estate, the following requirements must be met:

- Each parcel must be conveyed in its entirety.
- Parcels must be adjoined to the other unless they comply with the following exception. Parcels that otherwise would be adjoined, but are divided by a road, are acceptable if the parcel without a residence is a non-buildable lot (for example, waterfront properties where the parcel without the residence provides access to the water). Evidence that the lot is non-buildable must be included in the loan file.
- Each parcel must have the same basic zoning.
- The entire property may contain only one dwelling unit. Limited additional nonresidential improvements, such as a garage, are acceptable. For example, the adjoining parcel may not have an additional dwelling unit. An improvement that has been built across lot lines is acceptable. For example, a home built across both parcels where the lot line runs under the home is acceptable.
- The mortgage must be a valid first lien that covers each parcel.

11.8.15 PEST INFESTATION

If the appraisal report notes evidence of termites or other insect infestation, a pest inspection report certifying treatment of the infestation prior to closing is required. Any significant structural damage due to pest infestation must be corrected prior to closing.

11.8.16 PLUMBING

A plumbing certification from a licensed plumber is required whenever the appraisal states a fair or poor rating concerning the adequacy or condition of the system. Any inadequacies must be corrected prior to closing.

11.8.17 PRIVATE ROADS

Properties on private roads are acceptable subject to the following:

- The title company must ensure access to the subject property from a public street; and
- A legally enforceable agreement or covenant for maintenance of the street is required.
- The agreement should include provisions for the responsibility for payment of repairs, including each party's representative share, default remedies in the event a party to the agreement or covenant fails to comply with his or her obligations, and the effective term of the agreement which in most cases should be perpetual and binding on any future owners.
- If the property is located within a state that has statutory provisions that define the responsibilities of property owners for the maintenance and repair of a private street, no separate agreement or covenant is required. Any maintenance costs are to be included in the borrower's housing payment (PITIA).

11.8.18 PUD (PLANNED UNIT DEVELOPMENT)

A Planned Unit Development (PUD) is a project or subdivision that consists of common property and improvements that are owned and maintained by an HOA for the benefit and use of the individual PUD units. In order for a project to qualify as a PUD, all of the following requirements must be met:

- Each unit owner's membership in the owners' association must be automatic and non-severable
- The payment of assessments related to the unit must be mandatory
- Common property and improvements must be owned and maintained by an HOA for the benefit and use of the unit owners
- The subject unit must not be part of a condo or co-op project

Zoning is not a basis for classifying a project or subdivision as a PUD. The PUD project must be analyzed to ensure that an individual unit in the project will be acceptable security for the mortgage.

11.8.19 REPAIRS

The appraisal must identify all items that require repair. It should also include and describe physical deficiencies that could affect a property's soundness, structural integrity, livability, or improvements that are incomplete. Any immediate or necessary repairs must be completed and re-inspected by the appraiser prior to closing. See also [11.8.3 Deferred Maintenance](#).

11.8.20 RURAL PROPERTIES AND ACREAGE

A property indicated by the appraisal as rural, or containing any of the following characteristics, is typically considered a rural property:

- Neighborhood is less than 25% built-up.
- Area around the subject is zoned agricultural.
- Photographs of the subject show a dirt road.
- Comparables are more than 5 miles away from the subject.
- Subject is located in a community with a population of less than 25,000.
- Distance to schools and/or amenities are greater than 25 miles.
- Subject property and/or comparables have lot sizes greater than 10 acres.
- Subject property and/or comparables have outbuilding or large storage sheds.
- Appraiser or underwriter reconciles property as rural.

Rural properties must comply with all of the following criteria:

- Max acreage is 10 acres.
- Primary residence only.
- SFR and PUDs.
- Max loan amount \$500,000.
- Max 70% CLTV with minimum 720 FICO.
- Max 60% CLTV with minimum 700 FICO.
- Max 80% CLTV if acreage > 2 acres.
- Full appraisal required.
- Acreage includes frontage road and subject property.
- Residential use only. Agricultural use is not permitted.
- Properties that are zoned agricultural or commercial are not eligible.
- Property may not provide a source of income to the borrower.
- Lot size and acreage must be typical for the area and similar to surrounding properties.
- Property cannot be subject to idle acreage tax benefit or other tax incentive program.
- Present use as per the appraisal must be the “highest and best use” for the property.
- Condition, quality, and use of outbuildings should be considered in determining the market value of the subject property when the appraiser clearly supports the adjustments with similar comparable information.

11.8.21 SEPTIC SYSTEM/SEWAGE DISPOSAL SYSTEM

Sewage disposal systems may require certification if the appraiser indicates the necessity. The report should be provided by a city, county, state (or governing body) official or qualified entity stating:

- Sewage disposal system complies with applicable local and/or state health standards, is in proper working order, and can be expected to function satisfactorily; or
- Local and/or state health standards do not apply for the sewage disposal system; however, it is found to be in proper working order and adequate for the subject property.

For systems one-year-old or less, the certification may be no more than one-year-old on the date of closing. For systems more than one-year old, the certification should be no more than 120 days old on the date of closing.

11.8.22 SOLAR PANELS

The presence of solar panels or solar panel agreements are allowed with adherence to FNMA guidelines; properties where solar panels carry a lien against the subject are not eligible for financing.

11.8.23 UNCONVENTIONAL FLOOR PLANS

Properties with unusual floor plans or functional obsolescence are allowed if the appraisal demonstrates acceptability in the marketplace and includes appropriate adjustments. A floor plan sketch is required for all appraisals.

11.8.24 WATER SUPPLY

Water certification must be obtained if required by the appraiser. The report should be provided by a city, county, state (or governing body) official or a qualified entity stating:

- The water supply system is in proper working order and pumping an adequate supply of water for the subject property; and
- The water supply is potable and complies with local and/or state health authority standards (in the absence of a local health authority, a reputable chemical testing agency must certify that the water is fit for human consumption). The water certification(s) for existing properties can be no more than 60 days old on the date of closing. If new construction, the report may be 1-year old as of the date of closing.

11.8.25 ZONING AND LAND-USE REGULATIONS

Property improvements must constitute a legally permissible use of the land based on the zoning ordinance. If the improvements represent a legal, non-conforming use of land, a letter from the local building authority or appraiser must be obtained to certify the subject property can be rebuilt “as is” in the event of partial or total destruction.

The appraiser must compare the existing and potential use of the subject property to the zoning regulations.

In addition, the appraiser should note any adverse effect that a non-conforming use has on the value and marketability of the subject property.

Special consideration must be given to properties that are subject to other types of land use regulations, such as coastal tideland or wetland laws, as setback lines or other provisions may prevent reconstruction or maintenance of the property improvements in the event of damage or destruction. The intent of some land-use regulations is to remove existing land uses and to stop land development (including the maintenance, or new construction, or seawalls) within specific setback lines. Except as stated above, properties with land-use restrictions which prohibit the reconstruction to maintenance the dwelling are ineligible.

11.9 CONDOMINIUMS

A condominium is a form of ownership in which the interior space is individually owned, and the balance of the property (including land and building) is owned collectively with the other unit owners.

11.9.1 DEFINITIONS OF ESTABLISHED AND NEW CONDOMINIUMS

Specific eligibility criteria are dependent upon whether the condo project reviewed classified as established or new.

Established condominium projects meet the following criteria:

- At least 90% of the total units in the project have been conveyed to the unit purchasers
- Project is 100% complete, including all units and common elements
- Project is not subject to additional phasing or annexation
- Control of the HOA has been turned over to the unit owners

New condominium projects meet the following criteria:

- Fewer than 90% of the total units in the project have been conveyed to the unit purchasers
- The project is not fully completed, such as proposed construction, new construction, or the proposed or incomplete conversion of an existing building to a condo
- The project is newly converted
- The project is subject to additional phasing or annexation

11.9.2 GENERAL CONDOMINIUM REQUIREMENTS

All condominium projects must meet the following requirements:

- All common areas and amenities within the project or subject phase must be complete.
- Subject unit must have at least 600 square feet of living space.
- The sustainability, marketability and financial stability of the project must be supported.
- Project must be located in an area where acceptability of condominium ownership is demonstrated.
- The project must be in compliance with all applicable state or local laws. The homeowners' association must be incorporated in the state where the project is located.
- Condo projects must have acceptable insurance coverage.
- An environmental hazard assessment is required for condo projects if an environmental problem is identified through performance underwriting or due diligence. The solution must be deemed acceptable by Cliffco Mortgage Bankers.
- Projects with pending or threatened litigation are typically ineligible.
- The project must be located on one contiguous parcel of land. The project may be divided by a public street.
- The structures within the project must be within a reasonable distance from each other. Common elements and facilities, such as recreational facilities and parking, must be consistent with the nature of the project and competitive in the marketplace.
- All programs are limited to a maximum number of units originated by Cliffco Mortgage Bankers within one project of 20% or 20 loans, whichever is less.

11.9.3 CONDOMINIUM PROJECT REVIEWS

A valid project review is required for all condominium transactions, along with a completed Cliffco Mortgage Bankers Condominium Project Questionnaire (or equivalent form). The Condominium Project Questionnaire may not be greater than 120 days old at the time of closing.

The project review methods below should be utilized to determine the acceptability of a condominium project:

11.9.3.1 PERS (PROJECT ELIGIBILITY REVIEW SERVICE)

PERS project approvals: <https://www.fanniemae.com/singlefamily/project-eligibility>

Projects with Fannie Mae PERS approvals are acceptable and can be found on the Fannie Mae website. Projects must also meet the General Condominium Requirements and may not be an Ineligible Project. A PERS approval is valid for 18 months from the date of issue and must be valid as of the note date.

New projects are acceptable only with a PERS approval. New projects without a PERS approval are subject to non-warrantable condominium requirements. See 11.9.4 Non-Warrantable Condominiums.

11.9.3.2 FHA APPROVED CONDOMINIUMS

FHA condo approvals: <https://entp.hud.gov/idapp/html/condlook.cfm>

Projects with FHA condo approvals are acceptable and can be verified on the HUD website. Projects must also meet the General Condominium Requirements and may not be an Ineligible Project. An FHA condo approval must be valid as of the date of the note.

11.9.3.3 CONDOMINIUM PROJECT QUESTIONNAIRE REVIEW

For all established condominium projects without valid PERS or FHA approvals, or for projects that do not meet all the requirements of the various project review methods, a Condominium Project Questionnaire Review is required. The completed Cliffco Mortgage Bankers Condominium Project Questionnaire (or equivalent form) must reflect compliance with the following requirements:

Project must meet the definition of an established condo.

- For investment property transactions only, at least 50% of the total units in the project must be conveyed to purchasers as primary or second homes.
- No more than 15% of the total units in a project may be 60 days or more past due on their HOA dues.
- No single entity, the same individual, investor group, partnership, or corporation may own more than 20% of the total units in the project. For projects with 1-4 total units, single entity ownership may not exceed 1 unit. For 5-20-unit projects, single entity ownership may not exceed 2 units.
- No more than 35% of the total square footage of the project may be used for commercial purposes.
- Mortgagee may not be responsible for more than the greater of 6 months or the maximum amount permitted under applicable state law of delinquent HOA dues. For condos in Florida, the first mortgagee's liability for dues assessed prior to its acquisition of title is limited to the lesser of 12 months' assessments or 1% of the original mortgage debt.
- All facilities related to the project must be owned by the unit owners or the HOA cannot be subject to a lease between the unit owners or HOA and another party.

11.9.4 NON-WARRANTABLE CONDOMINIUMS

Non-warrantable condominiums are allowed. A completed Cliffco Mortgage Bankers Condominium Project Questionnaire is required. See the applicable Cliffco Mortgage Bankersmatrix for specific LTV restrictions.

NON-WARRANTABLE CONDOS	
CHARACTERISTIC	CONSIDERATIONS
COMMERCIAL SPACE	Commercial space in project up to 50%.
COMPLETION STATUS	The project, or the subject's legal phase along with other phases, must be complete. All common elements in the project or legal phase must be 100% completed. At least 50% must be sold or under a bona-fide contract. If the LTV is $\leq 80\%$ and credit score is ≥ 680, a minimum of 30% presale is allowed.
CONDOTELS	Condotels operating as hotels are prohibited.
DELINQUENT HOA DUES	No more than 20% of the total units in the project may be 60 days or more past due on the payment of condominium/association fees.
INVESTOR CONCENTRATION	Investor concentration in project up to 100%.
HOA CONTROL	The developer may be in control of the condominium association provided the Master Agreement provides for the homeowners to take control upon either a predetermined percentage of unit sales or within a defined time period.
LITIGATION	Projects involved in litigation are acceptable as long as the pending lawsuit(s) are not structural in nature, do not affect the marketability of the units and: - Potential damages do not exceed 25% of the HOA reserves, OR - Documentation must be provided by the insurance carrier or the attorney representing the insurance carrier that the insurance carrier has agreed to provide the defense and the association's insurance policy is sufficient to cover the litigation.
MASTER CONDO INSURANCE POLICY DEDUCTIBLE	Master condo insurance policy deductible up to 10%.
SINGLE ENTITY OWNERSHIP	Single entity ownership in project up to 30%.

11.9.5 CONDOMINIUM CONVERSIONS

A condominium conversion is the conversion of an existing building to a condominium project. Project conversions legally created in the past 3 years are not allowed.

11.9.6 SITE CONDOMINIUMS

Projects consisting of single-family detached dwellings (also known as site condominiums) are acceptable provided the appraisal supports market acceptance of site condominiums in the subject's market area. A Condominium Project Questionnaire is not required.

Appraisals for site condos may be documented on either FNMA Form 1004 or FNMA Form 1073. The appraiser should include an adequate description of the project, information about the homeowners' association fees, and note the quality of the project maintenance.

11.9.7 INELIGIBLE PROJECTS

- Projects comprised of manufactured homes
- Projects with units used for 'live-work'
- Projects managed and operated as a hotel or motel
- Projects containing the word hotel or motel in the name
- Projects that restrict the owner's ability to occupy the unit
- Projects with mandatory rental pooling agreements that require unit owners to either rent their units or give a management firm control over unit occupancy
- Projects with non-incidental business operations owned or operated by the homeowners' association (such as a restaurant, spa, health club, etc.)
- Common interest apartments
- Fractional ownership projects
- Timeshare or segmented ownership projects
- Continuing Care Retirement Communities or Life Care Facilities
- Multi-unit dwelling condos that permit an owner to hold title to more than one dwelling unit, with ownership of all of his or her owned units evidenced by a single deed and financed by a single mortgage

12 PROPERTY INSURANCE

12.1 HAZARD INSURANCE

12.1.1 MINIMUM HAZARD INSURANCE COVERAGE

Documentation of adequate hazard insurance coverage is required. When determining the acceptable coverage amount, the unpaid principal balance of all existing liens against the subject property should be used.

Hazard insurance must protect against loss or damage from fire and other hazards covered by the standard extended coverage endorsement. The coverage must provide for claims to be settled on a replacement cost basis. Extended coverage must include, at a minimum, wind, civil commotion (including riots), smoke, hail, and damage caused by aircraft, vehicle, or explosion.

Hazard insurance policies that limit or exclude from coverage (in whole or in part) windstorm, hurricane, hail damage, or any other perils that normally are included under an extended coverage endorsement are not acceptable.

Borrowers may not obtain hazard insurance policies that include such limitations or exclusions, unless they are able to obtain a separate policy or endorsement from another commercial insurer that provides adequate coverage for the limited or excluded peril or from an insurance pool that the state has established to cover the limitations or exclusions.

Hazard insurance coverage should be in the amount corresponding to:

- 100% of the insurable value of improvements, as established by the property insurer (Replacement Cost Estimator or equivalent); or
- The unpaid principal balance of all liens, as long as it equals the minimum amount (80% of the insurable value of the improvements) required to compensate for damage or loss on a replacement cost basis. If it does not, then coverage that does provide the minimum required amount must be obtained; or
- 100% Replacement Cost Coverage as stated on the policy declaration page.

If the policy does not have 100% replacement cost or a replacement cost estimate is not provided, an Account Manager's Certification verifying the insurer's replacement cost estimate is acceptable. The certification must include the insurance company's complete information, subject property details, confirm the replacement cost amount determined by the insurer, and be signed and dated by the Account Manager.

12.1.2 DETERMINING THE AMOUNT OF REQUIRED HAZARD COVERAGE

The following tables describe how to calculate the amount of required hazard insurance coverage when the policy does not explicitly guarantee 100% replacement cost coverage:

DETERMINING HAZARD COVERAGE	
STEP	DESCRIPTION
1	Compare the insurable value of the improvements as established by the property insurer to the unpaid principal balance of the mortgage loan.
1A	If the insurable value of the improvements is less than the unpaid principal balance, the insurable value is the amount of coverage required.
1B	If the unpaid principal balance of the mortgage loan is less than the insurable value of the improvements, go to Step 2.
2	Calculate 80% of the insurable value of the improvements.
2A	If the result of this calculation is equal to or less than the unpaid principal balance of the mortgage, the unpaid principal balance is the amount of coverage required.
2B	If the result of this calculation is greater than the unpaid principal balance of the mortgage, this calculated figure is the amount of coverage required.

EXAMPLES			
CATEGORY	PROPERTY A	PROPERTY B	PROPERTY C
INSURABLE VALUE	\$90,000	\$100,000	\$100,000
UNPAID BALANCE	\$95,000	\$ 90,000	\$ 75,000
80% INSURABLE VALUE	—	\$ 80,000	\$ 80,000
REQUIRED COVERAGE	\$90,000	\$ 90,000	\$ 80,000
CALCULATION METHOD	Step 1A	Step 2A	Step 2B

12.1.3 DEDUCTIBLE AMOUNT

The maximum allowable deductible for insurance covering a property securing a first mortgage loan is 5% of the face amount of the policy. When a policy provides for a separate wind-loss deductible (either in the policy itself or in a separate endorsement), that deductible must be no greater than 5% of the face amount of the policy.

12.1.4 EVIDENCE OF HAZARD INSURANCE

Policy must be effective for at least 60 days after the date of funding (does not apply to condominium project insurance policies). Evidence of Insurance may be provided in one of the following forms:

- Policy
- Certificate of Insurance (COI)
- Insurance Binder

Evidence of Insurance must provide the following information:

- Names of borrowers reflect the same as the names on the note.
- Property address agrees with the note/security instrument.
- Mailing address is the same as property address
- Policy Number
- Loan Number
- Name of insurance company
- Insurance Agent information
- Effective and expiration dates of coverage
- Premium Amount
- Coverage amount and deductible
- Loss payee clause as applicable
- Signed and dated by agent

12.1.5 OPTIONAL COVERAGE

Hazard insurance policies may include optional coverage(s) which are acceptable but are not required. For example, a “homeowners” or “package” policy is acceptable as long as any part of the coverage that exceeds the required coverage is not obligated for renewal.

12.1.6 RATING REQUIREMENTS

The hazard insurance policy must be written by a carrier that meets at least one of the following requirements:

- Carriers rated by A.M. Best Company, Inc. must have:
 - a “B” or better Financial Strength Rating in Best’s Insurance Reports, or
 - an “A” or better Financial Strength Rating and a Financial Size Category of “VIII” or greater in Best’s Insurance Reports Non-US Edition
- Carriers rated by Demotech, Inc. must have an “A” or better rating in Demotech’s Hazard Insurance Financial Stability Ratings
- Carriers rated by Kroll’s Bond Rating Agency must have a “BBB” or better rating in Kroll Bond Rating Agency’s Insurance Financial Strength Rating (IRSR)
- Carriers rated by Standard and Poor’s must have a “BBB” or better Insurer Financial Strength Rating in the Standard and Poor’s Ratings Direct Insurance Service

The following types of property insurance policies are acceptable if they are the only coverage the borrower can obtain:

- policies underwritten by a state’s Fair Access to Insurance Requirements (FAIR) plan; and
- policies obtained through state or territory insurance plans, such as the Hawaii Property Insurance Association (HPIA), Florida’s Citizens Property Insurance Corporation, or other state-mandated windstorm and beach erosion insurance pools.

12.2 CONDOMINIUM AND PUD PROJECT INSURANCE REQUIREMENTS

12.2.1 MINIMUM HAZARD INSURANCE COVERAGE

Insurance must cover 100% of the insurable replacement cost of the project improvements, including the individual units in the project. An insurance policy that includes any of the following coverage, either in the policy language or in a specific endorsement to the policy, is acceptable:

- **Guaranteed Replacement Cost** - the insurer agrees to replace the insurable property regardless of the cost,
- **Extended Replacement Cost** - the insurer agrees to pay more than the property's insurable replacement cost, or
- **Replacement Cost** - the insurer agrees to pay up to 100% of the property's insurable replacement cost.

Acceptable policies must provide coverage for either an individual project or multiple affiliated projects. The insurance policy must at a minimum protect against fire and all other hazards that are normally covered by the standard extended coverage endorsement, and all other perils customarily covered for similar types of projects, including those covered by the standard "all risk" or "special form" endorsement. If the policy does not include an "all risk" or "special form" endorsement, a policy that includes the "broad form" covered causes of loss is acceptable.

PUD Requirements: Individual insurance policies are also required for each unit mortgage in the PUD project. If the project's legal documents allow for blanket insurance policies to cover both the individual units and the common elements, blanket policies are acceptable to satisfy insurance requirements for the units.

When units located within a PUD are covered by individual property insurance policies maintained by their respective owner(s), verification of master property insurance coverage on PUD common elements is not required.

Condo Requirements: The entire condo project insurance policy must be reviewed to ensure the HOA maintains a master or blanket type of insurance policy, with premiums being paid as a common expense.

If the unit interior improvements are not included under the terms of the condominium policy, the borrower is required to have a HO-6 hazard policy ("wall-in coverage"), which is sufficient to repair the condo unit to its condition prior to a loss claim event.

The policy must require the insurer to notify in writing the HOA (or insurance trustee) and each first mortgage loan holder named in the mortgagee clause at least 10 days before it cancels or substantially changes a condo project's coverage.

12.2.2 DEDUCTIBLE AMOUNT

For policies covering the common elements in a PUD project and for policies covering condo projects, the maximum deductible amount must be no greater than 5% of the face amount of the policy.

For losses related to individual PUD units that are covered by the blanket policy for the project, the maximum deductible amount related to the individual unit should be no greater than 5% of the replacement cost of the unit. If, however, the policy provides for a wind-loss deductible (either in the policy itself or in a separate endorsement), that deductible must be no greater than 5% of the face amount of the policy.

For blanket insurance policies that cover both the individual units and the common elements, the maximum deductible amount related to the individual unit should be no greater than 5% of the replacement cost of the unit.

If the deductible exceeds 5% on a master condo policy, see [11.9.4 Non-Warrantable Condominiums](#) for additional considerations.

12.2.3 GENERAL LIABILITY COVERAGE

Project liability insurance requirements are as follows:

- The homeowners' association must maintain a commercial general liability insurance policy for condo projects or Type F PUD projects, including all common areas and elements, public ways, and any other areas that are under its supervision.
- The insurance should cover commercial spaces that are owned by the homeowners' association, even if they are leased to others. The commercial general liability insurance policy should provide coverage for bodily injury and property damage that result from the operation, maintenance, or use of the project's common areas and elements.
- The amount of liability coverage should be at least \$1,000,000 for bodily injury and property damage for any single occurrence.
- The policy should provide for at least ten days' written notice to the owners' association before the insurer can cancel or substantially modify it. For condominium projects, similar notice must also be given to each holder of a first mortgage or share loan on an individual unit in the project.

12.2.4 FIDELITY BOND COVERAGE

Fidelity bond coverage is required for condominium projects over 20 units (or per state requirements). The insurance coverage must be at least equal to the greater of 3 months HOA dues or reserves or minimum required by state law. Coverage is not required when the calculated amount is \$5,000 or less.

12.3 FLOOD INSURANCE

Flood insurance is required for any property located within any area designated by the Federal Emergency Management Agency (FEMA) as a Special Flood Hazard Area (SFHA). A SFHA is typically denoted as Flood Zone A or Zone V (coastal areas). Properties in Flood Zone A or V must be located in a community which participates in the FEMA program to be eligible for financing.

Flood Insurance is required to be escrowed if the first mortgage does not contain an escrow for flood and subject is in a flood zone.

12.3.1 FLOOD CERTIFICATE

Determination whether a subject property is in a flood zone must be established by a Flood Certificate provided by the Federal Emergency Management Agency (FEMA). The appraisal report should also accurately reflect the flood zone.

The flood insurance requirement can be waived if:

- Subject property improvements are not in the area of Special Flood Hazard, even though part of the land is in Flood Zone A or V; or
- Borrower obtains a letter from FEMA stating that its maps have been amended so that the subject property is no longer in an area of Special Flood Hazard

12.3.2 MINIMUM FLOOD INSURANCE COVERAGE

The minimum amount of flood insurance required for most first mortgages secured by 1-unit properties and individual PUD units is the lower of:

- 100% of the replacement cost of the insurable value of the improvements;
- the maximum insurance available from the National Flood Insurance Program (NFIP), which is currently \$250,000 per dwelling; or
- the unpaid principal balance of all liens on the property.

12.3.3 PROJECT FLOOD INSURANCE REQUIREMENTS

The flood policy for a PUD or condominium project must cover any common element buildings and any other common property located in a SFHA. The amount of flood insurance coverage for a PUD or condo project should be at least equal to the lesser of 100% of the insurable value of the facilities or the maximum coverage available under the appropriate National Flood Insurance Program (NFIP).

12.3.4 DEDUCTIBLE AMOUNT

The maximum allowable deductible is the maximum available from the NFIP, which is currently \$10,000. The maximum allowed deductible for a PUD or condo project is \$25,000.

12.3.5 EVIDENCE OF FLOOD INSURANCE

Flood insurance must be maintained throughout the duration of the loan. Evidence of Insurance must provide the following information:

- Names of borrowers reflect the same as the note
- Property address agrees with the note/security instrument
- Mailing address is the same as property address
- Policy Number
- Loan Number
- Name of insurance company
- Insurance Agent information
- Effective and expiration dates of coverage
- Premium Amount and deductible
- Coverage amount
- Loss payee clause as applicable
- Signed and dated by agent

13 TITLE INSURANCE

13.1 GENERAL TITLE REQUIREMENTS

1st lien HELOC: Full Title Policy required

2nd lien HELOC:

- Loan Amounts ≤ \$400,000 - Owner and Encumbrance Property Report
- Loan Amounts > \$400,000 - Full Title Policy

13.1.1 CHAIN OF TITLE

All files are to contain a 24-month title history from an acceptable source. Transfer date, price, and buyer and seller names on any title transfers that occurred within the previous 24 months should be provided. The vesting history should be reviewed for inconsistencies or any indication of flipping activity.

13.1.2 SURVEY REQUIREMENTS

If the title company requires a survey or plat map, a copy must be submitted in the loan file. Surveys must be certified, dated, and signed by the licensed civil engineer or registered surveyor performing the survey. Unimproved land surveys are not acceptable.

Surveys should be reviewed for easements, encroachments, flood zone impacts, and possible boundary violations, taking into account the location of the dwelling on the property.

13.2 OWNER AND ENCUMBRANCE PROPERTY REPORT

The following information should be found in the Owner and Encumbrance Property Report:

- Current vesting, with deed types and grantor name
- Full legal description
- Current tax status information, including installment amounts and any delinquencies
- Open mortgages
- Open liens secured by the subject property and unsecured liens/judgments pertaining to the homeowner
- Title chain and related documents
- Current and prior owner liens and judgments

13.3 TITLE POLICY REQUIREMENTS

If a full ALTA Residential Limited Coverage Junior Policy or full ALTA Title Policy is required, loans must be covered by a policy that has been paid in full and is valid, binding, and remains in full force and effect. The following states are not eligible for fully insured title policies: AK, CT, HI, ID, OR, SD, WY.

Preliminary title must indicate that the final title policy will be issued after funding.

The title insurer must be qualified to do business in the state where the subject property is located. The title insurer and policy must conform to Fannie Mae/Freddie Mac requirements. Evidence of errors and omissions (E&O) insurance covering the title company, or a closing protection letter (CPL), is also required.

13.3.1 BORROWER INFORMATION

All borrower names must be indicated on the title commitment. If the borrower's marital status appears to be different than on 1003, the discrepancy must be addressed.

13.3.2 COVERAGE AMOUNT

The amount of title insurance coverage must at least equal the original principal amount of the mortgage.

13.3.3 INSURED NAME

Title policy must insure Cliffco Mortgage Bankers as Cliffco Mortgage Bankers appears in the security instrument. It must also include the language "its successors and assigns as their interest may appear."

13.3.4 AGE OF REPORT

The preliminary title report/title commitment should be dated no later than 120 days prior to closing. Any requirements by title, such as Statements of Information or copies of trust agreements, must be cleared prior to closing.

13.3.5 VESTING

Final title policy vesting should reflect the name(s) of the individual borrower(s). See [4.8 Vesting and Ownership](#).

13.3.6 GAP COVERAGE

The preliminary title report/title commitment must be updated after closing in writing to ensure the mortgage is in first lien position and documented through one of the following:

- Final title policy
- Title bring-down search representing the period of time from the original search through the time the mortgage is recorded
- Gap coverage from the time of the original search until the mortgage is recorded, when the mortgage is not recorded at the time of diligence

13.3.7 TITLE POLICY FORMS

The final title policy must be written on one of the following forms:

- 2006 American Land Title Association (ALTA) standard form
- ALTA short form
- ALTA form with amendments required by state law in states in which standard ALTA forms of coverage are not used or in which the 2006 ALTA forms have not yet been adopted, provided those amendments are acceptable to Fannie Mae/Freddie Mac

13.3.8 TITLE POLICY UNDERWRITER

A title insurer must be:

- duly authorized and licensed, as required, to issue title insurance in the state where the property is located; and
- further evaluated in accordance with the lender's procedures for title insurer approval, which may include factors such as
 - an acceptable rating from a rating agency,
 - financial strength of the title insurer,
 - adequate reserves, or
 - record related to satisfactory title claim resolution.

Note: Iowa Title Guaranty is an acceptable title guarantor for properties located in the state of Iowa

13.3.9 TITLE EXCEPTIONS

The following items are allowable title exceptions:

- Customary public utility subsurface easements; the location of which are fixed and can be verified. The exercise of rights of easement will not interfere with use and enjoyment of any improvement of the subject property or proposed improvements upon which the appraisal or loan is based.
- Above-surface public utility easements that extend along one or more property lines for distribution purposes, or along the rear property line for drainage, provided they do not extend more than 12 feet from the subject property lines and do not interfere with any of the buildings or improvements, or with the use of the subject property; and public utility restrictions, provided their violation will not result in the forfeiture or reversion of title or a lien of any kind for damages, or have an adverse effect on the fair market value of the subject property.
- Mutual easement agreements that establish joint driveways or party walls constructed on the subject property and on an adjoining property, provided all future owners have unlimited and unrestricted use of them.
- Encroachments on one foot or less on adjoining property by eaves or other overhanging projections or by driveways provided there is at least a 10-foot clearance between the buildings on the subject property and the property line affected by the encroachments.
- Encroachments on the subject property by improvements on adjoining property provided these encroachments extend one foot or less over the property line of the subject property, have a total area of 50 square feet or less, do not touch any buildings, and do not interfere with the use of any improvements on the subject property or the use of the subject property not occupied by improvements.
- Encroachments on adjoining properties by hedges or removable fences.
- Liens for real estate or ad valorem taxes and assessments not yet due and payable.
- Outstanding oil, water, or mineral rights as long as they do not materially alter the contour of the property or impair its value or usefulness for its intended purposes.

13.4 SERVICING

All loans are to be serviced by a third-party servicer approved by Cliffco Mortgage Bankers.